

Hilltops Council

ANNUAL FINANCIAL STATEMENTS
for the year ended 30 June 2021



Hilltops Council

GENERAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2021



General Purpose Financial Statements

for the year ended 30 June 2021

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Overview

Hilltops Council is constituted under the Local Government Act 1993 (NSW) and has its principal place of business at:

189 Boorowa Street
Young NSW 2594

Council's guiding principles are detailed in Chapter 3 of the LGA and includes:

- principles applying to the exercise of functions generally by council,
- principles to be applied when making decisions,
- principles of community participation,
- principles of sound financial management, and
- principles for strategic planning relating to the development of an integrated planning and reporting framework.

A description of the nature of Council's operations and its principal activities are provided in Note B1-2.

Through the use of the internet, we have ensured that our reporting is timely, complete and available at minimum cost. All press releases, financial statements and other information are publicly available on our website: www.hilltops.nsw.gov.au.

Hilltops Council

General Purpose Financial Statements

for the year ended 30 June 2021

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to Section 413(2)(c) of the *Local Government Act 1993* (NSW)

The attached general purpose financial statements have been prepared in accordance with:

- the *Local Government Act 1993* and the regulations made thereunder,
- the Australian Accounting Standards and other pronouncements of the Australian Accounting Standards Board
- the Local Government Code of Accounting Practice and Financial Reporting.

To the best of our knowledge and belief, these statements:

- present fairly the Council's operating result and financial position for the year
- accord with Council's accounting and other records.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 27 October 2021.



Clr Brian Ingram
Mayor
27 October 2021



Clr Tony Wallace
Councillor
27 October 2021



Anthony O'Reilly
General Manager
27 October 2021



Anthony O'Reilly
Responsible Accounting Officer
27 October 2021

Hilltops Council

Income Statement

for the year ended 30 June 2021

Original unaudited budget 2021	\$ '000	Notes	Actual 2021	Actual 2020
	Income from continuing operations			
23,794	Rates and annual charges	B2-1	23,964	23,393
10,204	User charges and fees	B2-2	8,674	8,905
167	Other revenue	B2-3	946	649
15,245	Grants and contributions provided for operating purposes	B2-4	17,255	16,014
37,365	Grants and contributions provided for capital purposes	B2-4	17,976	17,651
372	Interest and investment income	B2-5	236	322
738	Other income	B2-6	616	568
–	Net gains from the disposal of assets	B4-1	–	99
87,885	Total income from continuing operations		69,667	67,601
	Expenses from continuing operations			
15,686	Employee benefits and on-costs	B3-1	19,903	21,068
15,696	Materials and services	B3-2	17,608	19,741
596	Borrowing costs	B3-3	720	744
17,130	Depreciation, amortisation and impairment for non-financial assets	B3-4	16,908	17,920
6,621	Other expenses	B3-5	1,309	1,064
–	Net losses from the disposal of assets	B4-1	842	–
55,729	Total expenses from continuing operations		57,290	60,537
32,156	Operating result from continuing operations		12,377	7,064
32,156	Net operating result for the year attributable to Council		12,377	7,064
(5,209)	Net operating result for the year before grants and contributions provided for capital purposes		(5,599)	(10,587)

The above Income Statement should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Comprehensive Income

for the year ended 30 June 2021

\$ '000	Notes	2021	Restated 2020
Net operating result for the year – from Income Statement		12,377	7,064
Other comprehensive income:			
Amounts which will not be reclassified subsequently to the operating result			
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	805	51,976
Adjustment to correct prior period errors		–	8,356
Total items which will not be reclassified subsequently to the operating result		805	60,332
Total other comprehensive income for the year		805	60,332
Total comprehensive income for the year attributable to Council		13,182	67,396

The above Statement of Comprehensive Income should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Financial Position

as at 30 June 2021

\$ '000	Notes	2021	Restated 2020
ASSETS			
Current assets			
Cash and cash equivalents	C1-1	9,805	22,048
Investments	C1-2	27,015	13,963
Receivables	C1-4	9,881	10,760
Inventories	C1-5	958	906
Contract assets and contract cost assets	C1-6	5,878	3,378
Other		–	26
Total current assets		53,537	51,081
Non-current assets			
Infrastructure, property, plant and equipment ¹	C1-7	659,152	647,585
Right of use assets	C2-1	496	522
Total non-current assets		659,648	648,107
Total assets		713,185	699,188
LIABILITIES			
Current liabilities			
Payables	C3-1	4,940	6,041
Contract liabilities	C3-2	8,010	6,997
Lease liabilities	C2-1	137	109
Borrowings	C3-3	1,872	1,910
Employee benefit provisions	C3-4	5,971	5,566
Provisions	C3-5	1,231	–
Total current liabilities		22,161	20,623
Non-current liabilities			
Payables	C3-1	82	73
Lease liabilities	C2-1	385	430
Borrowings	C3-3	15,310	17,184
Employee benefit provisions	C3-4	1,596	1,565
Provisions	C3-5	9,430	8,274
Total non-current liabilities		26,803	27,526
Total liabilities		48,964	48,149
Net assets		664,221	651,039
EQUITY			
Accumulated surplus	C4-1	578,094	565,717
IPPE revaluation reserve ¹	C4-1	85,342	84,537
Other reserves	C4-1	785	785
Council equity interest		664,221	651,039
Total equity		664,221	651,039

(1) Restated for 2019/20

The above Statement of Financial Position should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Changes in Equity

for the year ended 30 June 2021

		as at 30/06/21				as at 30/06/20			
		Accumulated surplus	IPPE revaluation reserve	Financial assets at FVOCI	Total equity	Accumulated surplus Restated	IPPE revaluation reserve Restated	Financial assets at FVOCI Restated	Total equity Restated
\$ '000	Notes								
Opening balance at 1 July		565,717	76,181	785	642,683	572,416	24,205	785	597,406
Changes due to AASB 1058 and AASB 15 adoption		–	–	–	–	(13,763)	–	–	(13,763)
Correction of prior period errors	G3-1	–	8,356	–	8,356	–	–	–	–
Restated opening balance		565,717	84,537	785	651,039	558,653	24,205	785	583,643
Net operating result for the year		12,377	–	–	12,377	7,064	–	–	7,064
Net operating result for the period		12,377	–	–	12,377	7,064	–	–	7,064
Other comprehensive income									
Correction of prior period errors	G3-1	–	–	–	–	–	8,356	–	8,356
Gain (loss) on revaluation of infrastructure, property, plant and equipment	C1-7	–	805	–	805	–	51,976	–	51,976
Restated Other comprehensive income		–	805	–	805	–	60,332	–	60,332
Total comprehensive income		12,377	805	–	13,182	7,064	60,332	–	67,396
Closing balance at 30 June		578,094	85,342	785	664,221	565,717	84,537	785	651,039

The above Statement of Changes in Equity should be read in conjunction with the accompanying notes.

Hilltops Council

Statement of Cash Flows

for the year ended 30 June 2021

Original unaudited budget 2021	\$ '000	Notes	Actual 2021	Actual 2020
Cash flows from operating activities				
Receipts:				
23,794	Rates and annual charges		23,476	22,435
10,204	User charges and fees		9,167	9,367
373	Investment and interest revenue received		278	491
52,609	Grants and contributions		33,684	26,677
–	Bonds, deposits and retention amounts received		39	464
905	Other		6,355	5,868
Payments:				
(15,581)	Employee benefits and on-costs		(19,387)	(21,003)
(15,696)	Materials and services		(19,993)	(15,598)
(596)	Borrowing costs		(628)	(801)
(6,621)	Other		(1,767)	(6,217)
49,391	Net cash flows from operating activities	G1-1	31,224	21,683
Cash flows from investing activities				
Receipts:				
13,285	Sale of investment securities		–	12,855
112	Sale of infrastructure, property, plant and equipment		164	428
Payments:				
(5,124)	Acquisition of term deposits		(13,052)	–
(54,468)	Purchase of infrastructure, property, plant and equipment		(28,544)	(31,416)
(46,195)	Net cash flows from investing activities		(41,432)	(18,133)
Cash flows from financing activities				
Receipts:				
–	Proceeds from borrowings		–	8,644
Payments:				
(1,869)	Repayment of borrowings		(1,912)	(1,406)
–	Principal component of lease payments		(123)	(101)
(1,869)	Net cash flows from financing activities		(2,035)	7,137
1,327	Net change in cash and cash equivalents		(12,243)	10,687
11,361	Cash and cash equivalents at beginning of year		22,048	11,361
12,688	Cash and cash equivalents at end of year	C1-1	9,805	22,048
14,199	plus: Investments on hand at end of year	C1-2	27,015	13,963
26,887	Total cash, cash equivalents and investments		36,820	36,011

The above Statement of Cash Flows should be read in conjunction with the accompanying notes.

Hilltops Council

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A About Council and these financial statements

A1-1 Basis of preparation

These financial statements were authorised for issue by Council on 12 November 2021. Council has the power to amend and reissue these financial statements in cases where critical information is received from public submissions or where the OLG directs Council to amend the financial statements.

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below.

These policies have been consistently applied to all the years presented, unless otherwise stated.

These general purpose financial statements have been prepared in accordance with Australian Accounting Standards and Australian Accounting Interpretations, the *Local Government Act 1993 (Act)* and *Local Government (General) Regulation 2005 (Regulation)*, and the Local Government Code of Accounting Practice and Financial Reporting.

Council is a not for-profit entity.

The financial statements are presented in Australian dollars and are rounded to the nearest thousand dollars.

Historical cost convention

These financial statements have been prepared under the historical cost convention, as modified by the revaluation of certain infrastructure, property, plant and equipment and investment property.

Significant accounting estimates and judgements

The preparation of financial statements requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Council's accounting policies.

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that may have a financial impact on the Council and that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

Council makes estimates and assumptions concerning the future.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year include:

- i. estimated fair values of infrastructure, property, plant and equipment – refer Note C1-8
- ii. estimated tip remediation provisions – refer Note C3-5
- iii. employee benefit provisions – refer Note C3-4.

Significant judgements in applying the Council's accounting policies

- i. Impairment of receivables – refer Note C1-4.

Understanding the Impact of reclassification

Adjustments have been made to the presentation of prior year comparatives in Council's Annual Financial Statements. The changes are the result of format changes in the Local Government Code of Accounting Practice and Financial Reporting. The impact of the above reclassification for 30 June 2021 is as follows:

Line Item as per Income Statement	Reclassified comparative figures 2020 \$'000	Audited figures 2020 \$'000	Reclassification \$'000
Materials and services	19,741		
Materials and contracts		16,331	3410
Other Expenses	1,064	4,474	

A1-1 Basis of preparation (continued)

Line Item as per Statement of Financial Position	Reclassified comparative figures 2020 \$'000	Audited figures 2020 \$'000	Reclassification \$'000
LIABILITIES			
Current Liabilities			
Employee Benefit provisions	5,566	0	5,566
Provisions	0	5,566	(5,566)
Non-Current Liabilities			
Employee Benefit provisions	1,565	0	1565
Provisions	8,274	9,839	(1,565)

Monies and other assets received by Council

The Consolidated Fund

In accordance with the provisions of Section 409(1) of the Local Government Act 1993 (NSW), all money and property received by Council is held in the Council's Consolidated Fund unless it is required to be held in the Council's Trust Fund.

Cash and other assets of the following entities have been included as part of the Consolidated Fund:

General purpose operations
Water service
Sewerage service
Section 355 Committees of Council
South West Regional Waste Management Group
South West Rural Fire Service

The Trust Fund

In accordance with the provisions of Section 411 of the *Local Government Act 1993 (NSW)* (as amended), a separate and distinct Trust Fund is maintained to account for all money and property received by the council in trust which must be applied only for the purposes of, or in accordance with, the trusts relating to those monies.

Trust monies and property subject to Council's control have been included in these reports.

Goods and Services Tax (GST)

Revenues, expenses and assets are recognised net of the amount of associated GST, unless the GST incurred is not recoverable from the taxation authority. In this case it is recognised as part of the cost of acquisition of the asset or as part of the expense.

Receivables and payables are stated inclusive of the amount of GST receivable or payable. The net amount of GST recoverable from, or payable to, the taxation authority is included with other receivables or payables in the Statement of Financial Position.

Cash flows are presented on a gross basis. The GST components of cash flows arising from investing or financing activities that are recoverable from, or payable to, the taxation authority, are presented as operating cash flows.

Volunteer services

Council's Tourist centre and community operations use volunteers to assist in their operation. The inconsistency and variability of times worked provides these activities with assistance when required. The value of volunteer labour is considered not material due to the use being minor or not reliably measureable.

New accounting standards and interpretations issued not yet effective

Certain new accounting standards and interpretations (ie. pronouncements) have been published by the Australian Accounting Standards Board that are not mandatory for the 30 June 2021 reporting period.

Council has elected not to apply any of these pronouncements in these financial statements before their operative dates.

As at the date of authorisation of these financial statements Council does not consider that any of these new (and still to be applied) standards and interpretations are likely to have a material impact on the Council's future financial statements, financial position, financial performance or cash flows.

B Financial Performance

B1 Functions or activities

B1-1 Functions or activities – income, expenses and assets

Income, expenses and assets have been directly attributed to the following functions or activities. Details of those functions or activities are provided in Note B1-2.

	Income		Expenses		Operating result		Grants and contributions		Carrying amount of assets	
	2021	2020	2021	2020	2021	2020	2021	2020	2021	2020
\$ '000										Restated
Functions or activities										
Governance	1,452	909	923	1,396	529	(487)	–	–	–	–
Administration	4,125	9,009	4,386	6,054	(261)	2,955	105	2,631	112,436	117,509
Public Order and Safety	941	595	61	1,353	880	(758)	893	546	76	93
Health	70	51	967	150	(897)	(99)	–	62	–	–
Environment	6,334	6,761	7,998	7,484	(1,664)	(723)	2,068	497	17,861	16,598
Community Services and Education	23	158	528	293	(505)	(135)	2	218	–	–
Housing and community amenities	931	673	1,318	1,955	(387)	(1,282)	454	2,769	2,628	3,012
Water Supplies	8,378	8,496	8,631	7,420	(253)	1,076	249	160	63,090	61,715
Sewerage Supplies	4,506	4,360	2,001	3,308	2,505	1,052	49	60	52,001	52,411
Recreation and culture	2,480	1,354	4,419	4,469	(1,939)	(3,115)	6,515	8,199	28,483	25,412
Mining, manufacturing and construction	200	115	1,345	397	(1,145)	(282)	–	–	1,032	314
Transport and communication	17,695	12,662	19,966	20,577	(2,271)	(7,915)	15,958	10,062	432,025	409,621
Economic affairs	1,113	962	4,747	5,681	(3,634)	(4,719)	82	–	123	124
General purpose Income	21,419	21,496	–	–	21,419	21,496	8,361	8,461	–	4,259
Other	–	–	–	–	–	–	495	–	3,430	8,120
Total functions and activities	69,667	67,601	57,290	60,537	12,377	7,064	35,231	33,665	713,185	699,188

B1-2 Components of functions or activities

Details relating to the Council's functions or activities as reported in B1-1 are as follows:

Governance

Includes costs relating to Council's role as a component of democratic government, including elections, members fees and expenses, subscriptions to local authority associations, meetings of Council and policy-making committees, public disclosure (e.g. GIPA), and legislative compliance.

Administration

Includes corporate support and other support services, engineering works, and any Council policy compliance.

Public order and safety

Includes Council's fire and emergency services levy, fire protection, emergency services, enforcement of regulations and animal control.

Health

Includes immunisation, food control, health centres etc.

Environment

Includes emerging weeds and insect/vermin control; other environmental protection; solid waste management, including domestic waste; other waste management; other sanitation; and garbage, street cleaning, drainage and stormwater management.

Community services and education

Includes administration and education; social protection (welfare); migrant, Aboriginal and other community services and administration (excluding accommodation – as it is covered under 'housing and community amenities'); youth services; aged and disabled persons services; childrens services; and other children services.

Housing and community amenities

Includes public cemeteries; public conveniences; street lighting; town planning; other community amenities, including housing development and accommodation for families and children, aged persons, disabled persons, migrants and Indigenous persons.

Water supplies

Sewerage supplies

Recreation and culture

Includes public libraries; museums; art galleries; community centres and halls, including public halls and performing arts venues; sporting grounds and venues; swimming pools; parks; gardens; and other sporting, recreational and cultural services.

Mining, manufacturing and construction

Includes building control, quarries and pits.

Transport and communication

Urban local, urban regional, includes sealed and unsealed roads, bridges, footpaths, parking areas, and aerodromes.

Economic affairs

Includes camping areas and caravan parks; tourism and area promotion; industrial development promotion; saleyards and markets; real estate development; and other business undertakings.

B2 Sources of income

B2-1 Rates and annual charges

\$ '000	Timing	2021	2020
Ordinary rates			
Residential	1058 (1)	4,942	4,838
Farmland	1058 (1)	7,099	6,962
Business	1058 (1)	1,301	1,275
Mining	1058 (1)	20	20
Less: pensioner rebates (mandatory)	1058 (1)	(478)	(481)
Rates levied to ratepayers		12,884	12,614
Pensioner rate subsidies received	1058 (1)	182	183
Total ordinary rates		13,066	12,797
Special rates			
Stormwater levy	1058 (1)	125	125
Rates levied to ratepayers		125	125
Total special rates		125	125
Annual charges			
(pursuant to s.496, s.496A, s.496B, s.501 & s.611)			
Domestic waste management services	1058 (1)	2,517	2,475
Water supply services	1058 (1)	3,238	3,104
Waste management services (non-domestic)	1058 (1)	48	47
Section 611 charges	1058 (1)	10	11
Sewerage services	1058 (1)	4,449	4,329
Recycling	1058 (1)	102	119
Greenwaste	1058 (1)	435	423
Less: pensioner rebates (mandatory)		(244)	(243)
Annual charges levied		10,555	10,265
Pensioner subsidies received:			
– Water	1058 (1)	73	71
– Sewerage	1058 (1)	62	60
– Domestic waste management	1058 (1)	83	75
Total annual charges		10,773	10,471
Total rates and annual charges		23,964	23,393

Council has used 2019 year valuations provided by the NSW Valuer General in calculating its rates.

Accounting policy

Rates and annual charges are recognised as revenue at the beginning of the rating period to which they relate. Prepaid rates are recognised as a financial liability until the beginning of the rating period.

Pensioner rebates relate to reductions in rates and certain annual charges for eligible pensioners' place of residence in the local government council area that are not subsidised by the NSW Government.

Pensioner rate subsidies are received from the NSW Government to provide a contribution towards the pensioner rebates and are recognised within the underlying revenue item based on their substance.

B2-2 User charges and fees

\$ '000	Timing	2021	2020
Specific user charges			
(per s.502 - specific 'actual use' charges)			
Waste management services (non-domestic)	15 (2)	49	56
Water supply services	15 (2)	4,420	4,742

continued on next page ...

B2-2 User charges and fees (continued)

\$ '000	Timing	2021	2020
Trade waste	15 (2)	–	1
Total specific user charges		4,469	4,799
Other user charges and fees			
(i) Fees and charges – statutory and regulatory functions (per s.608)			
Building regulation	15 (1)	13	4
Inspection services	15 (1)	97	62
Planning and building regulation	15 (1)	368	274
Private works – section 67	15 (2)	318	266
Regulatory/ statutory fees	15 (1)	6	8
Section 149 certificates (EPA Act)	15 (1)	71	49
Section 603 certificates	15 (1)	93	53
Town planning	15 (1)	11	–
Animal	15 (1)	15	13
Total fees and charges – statutory/regulatory		992	729
(ii) Fees and charges – other (incl. general user charges (per s.608))			
Cemeteries	15 (1)	312	264
Recycling income (non-domestic)	15 (1)	15	10
Tourism	15 (1)	3	–
Waste disposal tipping fees	15 (1)	945	824
Caravan park	15 (1)	249	200
Leaseback fees – Council vehicles	15 (1)	82	70
Library and art gallery	15 (1)	7	6
Park rents	15 (1)	33	36
TfNSW (formerly RMS) charges (state roads not controlled by Council)	15 (2)	1,337	1,788
Swimming centres	15 (1)	62	68
Water connection fees	15 (1)	52	18
Truckwash	15 (1)	13	13
Septic tank fees	15 (1)	29	31
Sewer plan fees	15 (1)	56	40
Sewer connection fees	15 (1)	14	7
Other	15 (1)	4	2
Total fees and charges – other		3,213	3,377
Total user charges and fees		8,674	8,905
Timing of revenue recognition for user charges and fees			
User charges and fees recognised over time (1)		2,550	2,052
User charges and fees recognised at a point in time (2)		6,124	6,853
Total user charges and fees		8,674	8,905

Accounting policy

Revenue arising from user charges and fees is recognised when or as the performance obligation is completed and the customer receives the benefit of the goods / services being provided.

The performance obligation relates to the specific services which are provided to the customers and generally the payment terms are within 30 days of the provision of the service or in some cases such as caravan parks, the customer is required to pay on arrival or a deposit in advance. There is no material obligation for Council in relation to refunds or returns.

Where an upfront fee is charged such as joining fees for the leisure centre the fee is recognised on a straight-line basis over the expected life of the membership.

Licences granted by Council are all either short-term or low value and all revenue from licences is recognised at the time that the licence is granted rather than over the term of the licence.

B2-3 Other revenue

\$ '000	Timing	2021	2020
Fines – parking	1058 (1)	2	7
Fines – other	1058 (1)	25	12
Commissions and agency fees	1058 (1)	43	32
Insurance claims recoveries	1058 (1)	276	92
Legal fees recovery – other	1058 (1)	–	3
Sales – general	15 (1)	140	101
Other	15 (1)	4	60
Insurance incentives and rebates	1058 (1)	178	–
Dividend southern phone	1058 (1)	–	47
Sale of scrap metal	1058 (1)	–	23
Section 355 committee	1058 (1)	14	62
Sale of garbage bins	1058 (1)	9	11
Worker health and safety incentives	1058 (1)	3	60
Workers compensation reimbursement	1058 (1)	252	139
Total other revenue		946	649

Timing of revenue recognition for other revenue

Other revenue recognised over time (1)	946	649
Other revenue recognised at a point in time (2)	–	–
Total other revenue	946	649

Accounting policy for other revenue

Where the revenue is earned for the provision of specified goods / services under an enforceable contract, revenue is recognised when or as the obligations are satisfied.

Statutory fees and fines are recognised as revenue when the service has been provided, the payment is received or when the penalty has been applied, whichever occurs first.

Other revenue is recorded when the payment is due, the value of the payment is notified, or the payment is received, whichever occurs first.

B2-4 Grants and contributions

\$ '000	Timing	Operating 2021	Operating 2020	Capital 2021	Capital 2020
General purpose grants and non-developer contributions (untied)					
General purpose (untied)					
Current year allocation					
Financial assistance – general component	1058 (1)	2,624	2,626	–	–
Financial assistance – local roads component	1058 (1)	1,413	1,392	–	–
Payment in advance - future year allocation					
Financial assistance – local roads component	1058 (1)	2,815	1,478	–	–
Financial assistance – general component	1058 (1)	1,509	2,781	–	–
Amount recognised as income during current year		8,361	8,277	–	–
Special purpose grants and non-developer contributions (tied)					
Cash contributions					
Previously specific grants:					
Water supplies	1058 (2)	89	170	–	249
Library – special projects	1058 (2)	–	–	30	26
Recreation and culture	1058 (1)	–	205	1,848	1,307
Storm/flood damage	1058 (1)	495	–	–	–
Bushfire and emergency services	1058 (2)	614	279	251	286
Employment and training programs	1058 (1)	9	5	–	–
Heritage and cultural	1058 (1)	22	129	–	–
Library – per capita	1058 (1)	69	82	–	–
LIRS subsidy	1058 (1)	121	67	–	–
Noxious weeds	1058 (1)	75	134	–	–
Street lighting	1058 (1)	100	91	–	–
Transport (other roads and bridges funding)	1058 (2)	–	–	9,357	4,170
Youth services	1058 (1)	2	48	–	–
Health programs	1058 (1)	–	6	–	–
Stronger Community Funds	1058 (2)	–	–	4,254	9,144
Other specific grants	1058 (2)	248	96	33	115
Transport (roads to recovery)	1058 (1)	2,065	2,708	–	–
Previously contributions:					
Community services	1058 (1)	1	8	–	–
Drought Assistance	1	100	–	578	–
Other councils – joint works/services	1058 (1)	1,820	2,068	–	–
Recreation and culture	1058 (1)	1	2	–	–
Other contributions	1058 (2)	(5)	2	(100)	100
Transport for NSW contributions (regional roads, block grant)	1058 (1)	3,057	1,623	912	1,496
Waste	1058 (1)	11	14	–	–
Other	1	–	–	8	–
Total special purpose grants and non-developer contributions – cash		8,894	7,737	17,171	16,893
Total special purpose grants and non-developer contributions (tied)		8,894	7,737	17,171	16,893
Total grants and non-developer contributions		17,255	16,014	17,171	16,893
Comprising:					
– Commonwealth funding		10,426	10,985	2,708	2,170
– State funding		4,507	1,312	14,462	14,723
– Other funding		2,322	3,717	1	–
		17,255	16,014	17,171	16,893

B2-4 Grants and contributions (continued)

Developer contributions

\$ '000	Notes	Timing	Operating 2021	Operating 2020	Capital 2021	Capital 2020
Developer contributions:						
(s7.4 & s7.11 - EP&A Act, s64 of the LGA):						
Cash contributions						
S 7.11 – contributions towards amenities/services		1058 (1)	–	–	326	308
S 64 – sewerage service contributions		1058 (1)	–	–	49	20
S 7.12 – fixed development consent levies		1058 (1)	–	–	388	341
S 64 – water supply contributions		1058 (1)	–	–	42	89
Total developer contributions – cash			–	–	805	758
Total developer contributions			–	–	805	758
Total contributions			–	–	805	758
Total grants and contributions			17,255	16,014	17,976	17,651
Timing of revenue recognition for grants and contributions						
Grants and contributions recognised over time (1)			15,814	–	4,451	–
Grants and contributions recognised at a point in time (2)			1,441	16,014	13,525	17,651
Total grants and contributions			17,255	16,014	17,976	17,651

B2-4 Grants and contributions (continued)

Unspent grants and contributions

Certain grants and contributions are obtained by Council on the condition they be spent in a specified manner or in a future period but which are not yet spent in accordance with those conditions are as follows:

\$ '000	Operating 2021	Operating 2020	Capital 2021	Capital 2020
Unspent grants and contributions				
Unspent funds at 1 July	201	576	–	54
Less: Funds received in prior year but revenue recognised and funds spent in current year	–	(375)	–	(54)
Add: Funds recognised as revenue in the reporting year but not yet spent in accordance with the conditions	52	–	–	–
Less: Funds recognised as revenue in previous years that have been spent during the reporting year	(49)	–	–	–
Unspent funds at 30 June	204	201	–	–
Contributions				
Unspent funds at 1 July	3,012	2,316	–	–
Add: contributions recognised as revenue in the reporting year but not yet spent in accordance with the conditions	839	784	–	–
Less: contributions recognised as revenue in previous years that have been spent during the reporting year	(132)	(88)	–	–
Unspent contributions at 30 June	3,719	3,012	–	–

Council has contributions under S7.11 and S7.12 that will be spent in the future in accordance with Councils adopted contributions plan.

Accounting policy

Grants and contributions – enforceable agreement with sufficiently specific performance obligations

Grant and contribution revenue from an agreement which is enforceable and contains sufficiently specific performance obligations is recognised as or when control of each performance obligations is transferred.

The performance obligations vary according to the agreement but include the provision of road and recreation assets. Payment terms vary depending on the terms of the grant, cash is received upfront for some grants and on the achievement of certain payment milestones for others.

Performance obligations may be satisfied either at a point in time or over time and this is reflected in the revenue recognition pattern. Point in time recognition occurs when the beneficiary obtains control of the goods / services at a single time (e.g. completion of the project when a report / outcome is provided), whereas over time recognition is where the control of the services is ongoing throughout the project (e.g. provision of community health services through the year).

Where control is transferred over time, generally the input methods being either costs or time incurred are deemed to be the most appropriate methods to reflect the transfer of benefit.

Capital grants

Capital grants received by Council under an enforceable contract for the acquisition or construction of infrastructure, property, plant and equipment to identified specifications which will be under Council's control on completion are recognised as revenue as and when the obligation to construct or purchase is completed.

For construction projects, this is generally as the construction progresses in accordance with costs incurred since this is deemed to be the most appropriate measure of the completeness of the construction project.

B2-4 Grants and contributions (continued)

For acquisitions of assets, the revenue is recognised when the asset is acquired and controlled by the Council.

Developer contributions

Council has obligations to provide facilities from contribution revenues levied on developers under the provisions of sections 7.4, 7.11 and 7.12 of the *Environmental Planning and Assessment Act 1979* (EP&A Act).

While Council generally incorporates these amounts as part of a Development Consents Order, such developer contributions are only recognised as income upon receipt by Council, due to the possibility that individual development consents may not be acted upon by the applicant and, accordingly, would not be payable to Council.

Developer contributions may only be expended for the purposes for which the contributions were required, but Council may apply contributions according to the priorities established in work schedules for the contribution plan.

Other grants and contributions

Assets, including cash, received from other grants and contributions are recognised at fair value when the asset is received. Council considers whether there are any related liability or equity items associated with the asset which are recognised in accordance with the relevant accounting standard.

Once the assets and liabilities have been recognised then income is recognised for any remaining asset value at the time that the asset is received.

B2-5 Interest and investment income

\$ '000	2021	2020
Interest on financial assets measured at amortised cost		
– Overdue rates and annual charges (incl. special purpose rates)	40	93
– Cash and investments	195	229
– Other	1	–
Total interest and investment income (losses)	236	322
Interest and investment income is attributable to:		
Unrestricted investments/financial assets:		
Overdue rates and annual charges (general fund)	17	48
General Council cash and investments	49	177
Restricted investments/funds – external:		
Development contributions		
– Section 7.11	11	30
– Section 64	–	5
Water fund operations	93	28
Sewerage fund operations	38	16
South West Regional Waste Management Group	28	18
Total interest and investment income	236	322

Accounting policy

Interest income is recognised using the effective interest rate at the date that interest is earned.

Dividends are recognised as income in profit or loss when the shareholder's right to receive payment is established unless the dividend clearly represents a recovery of part of the cost of the investment.

B2-6 Other income

\$ '000	Notes	2021	2020
Reversal of impairment losses on receivables			
Other		6	—
Total reversal of impairment losses on receivables	C1-4	6	—
Rental income			
Other lease income			
Room/Facility Hire		610	568
Total Other lease income		610	568
Total rental income	C2-2	610	568
Total other income		616	568

B3 Costs of providing services

B3-1 Employee benefits and on-costs

\$ '000	2021	2020
Salaries and wages	18,298	17,095
Travel expenses	7	165
Employee leave entitlements (ELE)	2,769	2,584
Superannuation	1,758	1,921
Workers' compensation insurance	1,440	807
Fringe benefit tax (FBT)	90	135
Payroll tax	80	107
Training costs (other than salaries and wages)	232	278
Protective clothing	84	86
WH&S expenses	23	38
Other	91	173
Total employee costs	24,872	23,389
Less: capitalised costs	(4,969)	(2,321)
Total employee costs expensed	19,903	21,068
Number of 'full-time equivalent' employees (FTE) at year end	229	253

Accounting policy

Employee benefit expenses are recorded when the service has been provided by the employee.

All employees of the Council are entitled to benefits on retirement, disability or death. Council contributes to various defined benefit plans and defined contribution plans on behalf of its employees.

Contributions to defined contribution plans are recognised as an expense as they become payable. Prepaid contributions are recognised as an asset to the extent that a cash refund or a reduction in the future payments is available.

Council participates in a defined benefit plan under the Local Government Superannuation Scheme, however, sufficient information to account for the plan as a defined benefit is not available and therefore Council accounts for its obligations to defined benefit plans on the same basis as its obligations to defined contribution plans, i.e. as an expense when it becomes payable – refer to Note E3-1 for more information.

B3-2 Materials and services

\$ '000	Notes	2021	2020
Previously other expenses:			
Raw materials and consumables		22,136	18,050
Contractor and consultancy costs		6,292	8,064
– RTA works		37	12
– Private works		72	–
– Security services		41	38
– IT support services		447	626
– Town planning		107	18
– Regional landfill receival charges		900	862
– Waste haulage		1,117	1,174
Audit Fees	F2-1	191	193
Advertising		65	75
Bank charges		70	60
Cost of sales		82	49
Computer software charges		89	121
Electricity and heating		724	822
Insurance		878	743
Office expenses (including computer expenses)		47	7
Postage		97	84
Printing and stationery		81	122
Street lighting		217	169
Subscriptions and publications		171	148
Telephone and communications		381	372
Other expenses		133	111
Councillor and Mayoral fees and associated expenses	F1-2	167	186
Valuation fees – land rates		89	111
Licence fees		93	60
Lease property		19	20
Promotion and trade fairs		24	150
Legal expenses:			
Expenses from short-term leases		12	6
– Legal expenses: planning and development		101	21
– Legal expenses: other		229	313
Water acquisition costs		1,151	865
Water purchase		2,661	3,453
Swimming pool		–	1
Total materials and services		38,921	37,106
Less: capitalised costs		(21,313)	(17,365)
Total materials and services		17,608	19,741

Accounting policy

Expenses are recorded on an accruals basis as the Council receives the goods or services.

B3-3 Borrowing costs

\$ '000	Notes	2021	2020
(i) Interest bearing liability costs			
Interest on leases		32	39
Interest on loans		635	465
Total interest bearing liability costs		667	504
Total interest bearing liability costs expensed		667	504
(ii) Other borrowing costs			
Discount adjustments relating to movements in provisions (other than ELE)		–	–
– Remediation liabilities	C3-5	53	240
Total other borrowing costs		53	240
Total borrowing costs expensed		720	744

Accounting policy

Borrowing costs incurred for the construction of any qualifying asset are capitalised during the period of time that is required to complete and prepare the asset for its intended use or sale. Other borrowing costs are expensed as incurred.

B3-4 Depreciation, amortisation and impairment of non-financial assets

\$ '000	Notes	2021	2020
Depreciation and amortisation			
Plant and equipment		2,293	2,342
Office equipment		109	65
Furniture and fittings		24	41
Land improvements (depreciable)		9	6
Infrastructure:	C1-7		
– Buildings – non-specialised		2,833	2,693
– Buildings – specialised		656	648
– Other structures		395	336
– Roads		6,478	7,895
– Bridges		606	550
– Footpaths		119	107
– Stormwater drainage		310	297
– Water supply network		974	931
– Sewerage network		1,325	1,350
– Swimming pools		214	176
– Other open space/recreational assets		354	308
Right of use assets	C2-1	132	118
Other assets:			
– Library books		66	45
Reinstatement, rehabilitation and restoration assets:			
– Quarry assets	C3-5,C1-7	11	12
Total gross depreciation and amortisation costs		16,908	17,920
Total depreciation and amortisation costs		16,908	17,920
Total depreciation, amortisation and impairment for non-financial assets		16,908	17,920

Accounting policy

Depreciation and amortisation

Depreciation and amortisation are calculated using the straight line method to allocate their cost, net of their residual values, over their estimated useful lives. Useful lives are included in Note C1-8 for IPPE assets.

B3-4 Depreciation, amortisation and impairment of non-financial assets (continued)

Impairment of non-financial assets

Council assets held at fair value that are not held primarily for their ability to generate net cash flow, and that are deemed to be specialised, are not tested for impairment since these assets are assessed on an annual basis to ensure that the carrying amount is not materially different from fair value and therefore an impairment loss would be captured during this assessment.

Intangible assets not yet available for use, are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired.

Other non-financial assets that do not meet the criteria above are tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows that are largely independent of the cash inflows from other assets or groups of assets (cash-generating units).

Impairment losses for revalued assets are firstly offset against the amount in the revaluation surplus for the class of asset, with only the excess to be recognised in the Income Statement.

B3-5 Other expenses

\$ '000	Notes	2021	2020
Impairment of receivables			
User charges and fees		47	17
Total impairment of receivables	C1-4	47	17
Other			
Contributions/levies to other levels of government			
– Emergency services levy (includes FRNSW, SES, and RFS levies)		1,063	646
– Other contributions/levies		18	28
Donations, contributions and assistance to other organisations (Section 356)		87	95
– Southern Slopes Weeds Authority		–	176
– ROC membership		27	41
– Section 355 committees and community events		19	18
– Shires Association		48	43
Total other		1,262	1,047
Total other expenses		1,309	1,064

Accounting policy

Other expenses are recorded on an accruals basis when Council has an obligation for the expenses.

Impairment expenses are recognised when identified.

B4 Gains or losses

B4-1 Gain or loss from the disposal, replacement and de-recognition of assets

\$ '000	Notes	2021	2020
Gain (or loss) on disposal of plant and equipment	C1-7		
Proceeds from disposal – plant and equipment		164	428
Less: carrying amount of plant and equipment assets sold/written off		(1,006)	(327)
Gain (or loss) on disposal		(842)	101
Gain (or loss) on disposal of investments	C1-2		
Proceeds from disposal/redemptions/maturities – financial assets		–	10,743
Less: carrying amount of financial assets sold/redeemed/matured		–	(10,745)
Gain (or loss) on disposal		–	(2)
Gain (or loss) on disposal of term deposits	C1-2		
Proceeds from disposal/redemptions/maturities – term deposits		–	–
Less: carrying amount of term deposits sold/redeemed/matured		–	–
Gain (or loss) on disposal		–	–
Net gain (or loss) on disposal of assets		(842)	99

Accounting policy

Gains and losses on disposals are determined by comparing proceeds with carrying amount. The gain or loss on sale of an asset is determined when control of the asset has irrevocably passed to the buyer and the asset is de-recognised.

B5 Performance against budget

B5-1 Material budget variations

Council's original budget was adopted by the Council on 31/07/2020 and is not required to be audited. The original projections on which the budget was based have been affected by a number of factors. These include state and federal government decisions, including new grant programs, changing economic activity, environmental factors, and by decisions made by Council.

While these General Purpose Financial Statements include the original budget adopted by Council, the Act requires Council to review its financial budget on a quarterly basis, so it is able to manage the variation between actuals and budget that invariably occur during the year.

Material variations of more than 10% between original budget and actual results or where the variance is considered material by nature are explained below.

Variation Key: **F** = Favourable budget variation, **U** = Unfavourable budget variation.

\$ '000	2021 Budget	2021 Actual	2021 ----- Variance -----	
REVENUES				
User charges and fees	10,204	8,674	(1,530)	(15)% U
Public Health Act charges of 500k were not commenced. Private works revenues were down by over 200k and swimming pool fees were also down.				
Other revenues	167	946	779	466% F
Insurance claim recoveries and incentives of over 500k were not originally budgeted.				
Operating grants and contributions	15,245	17,255	2,010	13% F
Unspent operating grants funds of approximately \$2M were budgeted as transfers rather than income.				
Capital grants and contributions	37,365	17,976	(19,389)	(52)% U
Councils original budget included \$26M for roads and bridges capital works under the Fixing Country Roads and HSVPP programs. Expenditure during the year totalled approximately \$5M.				
Interest and investment revenue	372	236	(136)	(37)% U
Returns on investment were smaller than originally budgeted.				
Other income	738	616	(122)	(17)% U
Councils incentives budget of \$100k was not achieved during the year.				

B5-1 Material budget variations (continued)

\$ '000	2021 Budget	2021 Actual	2021 ----- Variance -----	
EXPENSES				
Employee benefits and on-costs	15,686	19,903	(4,217)	(27)% U
Councils capital works program fell short of budget meaning more employee costs became operational expenses.				
Materials and services	15,696	17,608	(1,912)	(12)% U
Many of these costs were originally budgeted as other expenses prior to the code changes.				
Other expenses	6,621	1,309	5,312	80% F
Most of these costs are now included in materials and contracts as a result of the changes to the Financial reporting code.				
Net losses from disposal of assets	–	842	(842)	∞ U
Council did not budget for the write off of Property, plant and equipment.				

STATEMENT OF CASH FLOWS

Cash flows from operating activities	49,391	31,224	(18,167)	(37)% U
Council originally budgeted to spend more capital grants and complete outstanding projects. Grant revenues were down approximately \$20M against budget.				
Cash flows from investing activities	(46,195)	(41,432)	4,763	(10)% F
As per cashflows above, Council did not complete as many capital projects as expected. Acquisition of Assets costs were down \$20M compared to budget, which were offset by an increase in investments.				

C Financial position

C1 Assets we manage

C1-1 Cash and cash equivalents

\$ '000	2021	2020
Cash and cash equivalents		
Cash on hand and at bank	7,805	20,048
Cash-equivalent assets		
– Short-term deposits	2,000	2,000
Total cash and cash equivalents	9,805	22,048

Reconciliation of cash and cash equivalents

Total cash and cash equivalents per Statement of Financial Position	9,805	22,048
Balance as per the Statement of Cash Flows	9,805	22,048

Accounting policy

For Statement of Cash Flow presentation purposes, cash and cash equivalents include: cash on hand; deposits held at call with financial institutions; other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value; and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the Statement of Financial Position.

C1-2 Financial investments

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Debt securities at amortised cost				
Long term deposits	27,015	–	13,963	–
Total	27,015	–	13,963	–
Total financial investments	27,015	–	13,963	–
Total cash assets, cash equivalents and investments	36,820	–	36,011	–

Accounting policy

Financial instruments are recognised initially on the date that the Council becomes party to the contractual provisions of the instrument.

On initial recognition, all financial instruments are measured at fair value plus transaction costs (except for instruments measured at fair value through profit or loss where transaction costs are expensed as incurred).

Financial assets

All recognised financial assets are subsequently measured in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

Classification

On initial recognition, Council classifies its financial assets into the following categories – those measured at:

- amortised cost
- fair value through profit and loss (FVTPL)
- fair value through other comprehensive income – equity instrument (FVOCI-equity)

Financial assets are not reclassified subsequent to their initial recognition.

Amortised cost

Assets measured at amortised cost are financial assets where:

- the business model is to hold assets to collect contractual cash flows, and

continued on next page ...

C1-2 Financial investments (continued)

- the contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Council's financial assets measured at amortised cost comprise trade and other receivables, term deposits and cash and cash equivalents in the Statement of Financial Position. Term deposits with an initial term of more than 3 months are classified as investments rather than cash and cash equivalents.

Subsequent to initial recognition, these assets are carried at amortised cost using the effective interest rate method less provision for impairment.

Interest income, impairment and gains or loss on de-recognition are recognised in profit or loss.

Fair value through other comprehensive income – equity instruments

Council has a number of strategic investments in entities over which they do not have significant influence nor control. Council has made an irrevocable election to classify these equity investments as fair value through other comprehensive income as they are not held for trading purposes.

These investments are carried at fair value with changes in fair value recognised in other comprehensive income (financial asset reserve). On disposal any balance in the financial asset reserve is transferred to accumulated surplus and is not reclassified to profit or loss.

Other net gains and losses excluding dividends are recognised in the Other Comprehensive Income Statement.

C1-3 Restricted cash, cash equivalents and investments

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Total cash, cash equivalents and investments	36,820	–	36,011	–
attributable to:				
External restrictions	32,138	–	29,476	–
Internal restrictions	7,473	–	9,152	–
Unrestricted	(2,791)	–	(2,617)	–
	36,820	–	36,011	–

Commentary:

Council recognises, that as at 30 June 2021, the value of internal and external restrictions exceeds the total cash and investments by \$2,791.

On 1 July 2021, Council will realise the following restricted receivables and government debtors:

GST receivable (Note C1-4)	1,190
Government Grants and Subsidies (Note C1-4)	98
Totals	1,288

Once these debtors are realised the cash position improves to a deficit of \$1,503.

As at the lodgement date for these statements, Council has a positive unrestricted cash balance.

\$ '000	2021	2020
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Details of restrictions

External restrictions – included in liabilities

Specific purpose unexpended grants – general fund	–	39
Specific purpose unexpended loans – general	176	176
Specific purpose unexpended loans – water	2,440	2,653
Specific purpose unexpended loans – sewer	3,174	3,180
External restrictions – included in liabilities	5,790	6,048

External restrictions – other

External restrictions included in cash, cash equivalents and investments above comprise:

Developer contributions – general	2,628	2,007
Developer contributions – water fund	954	912
Developer contributions – sewer fund	137	88
Specific purpose unexpended grants (recognised as revenue) – general fund	204	620
Water fund	13,770	13,147
Sewer fund	3,465	2,257
Stormwater management	448	342
Regional waste group	4,297	3,692
Regional fire zone	76	93
Domestic waste management	132	132
Other contributions	21	21
Other	216	117
External restrictions – other	26,348	23,428
Total external restrictions	32,138	29,476

C1-3 Restricted cash, cash equivalents and investments (continued)

\$ '000	2021	2020
Internal restrictions		
Council has internally restricted cash, cash equivalents and investments as follows:		
Plant and vehicle replacement	700	475
Infrastructure replacement	–	96
Employees leave entitlement	1,335	1,100
Implementation Funding	923	1,270
Stronger Councils Funds	3,786	5,553
Quarries and pit restoration	729	552
Corporate support reserves	–	106
Total internal restrictions	7,473	9,152
Total restrictions	39,611	38,628

Internal restrictions over cash, cash equivalents and investments are those assets restricted only by a resolution of the elected Council.

C1-4 Receivables

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Purpose				
Rates and annual charges	3,688	–	3,200	–
Interest and extra charges	164	–	206	–
User charges and fees	4,393	–	3,862	–
Contributions to works	2	–	496	–
Accrued revenues				
– Interest on investments	71	–	71	–
– Other income accruals	152	–	869	–
Amounts due from other councils	–	–	201	–
Deferred debtors	21	–	21	–
Government grants and subsidies	98	–	227	–
Net GST receivable	1,190	–	1,208	–
Contributions	183	–	170	–
Other debtors	–	–	315	–
Total	9,962	–	10,846	–
Less: provision of impairment				
Rates and annual charges	(4)	–	(4)	–
User charges and fees	(65)	–	(65)	–
Other debtors	(12)	–	(17)	–
Total provision for impairment – receivables	(81)	–	(86)	–
Total net receivables	9,881	–	10,760	–
Externally restricted receivables				
Water supply				
– Rates and availability charges	586	–	509	–
– Other	2,219	–	4,172	–
Sewerage services				
– Rates and availability charges	708	–	606	–
– Other	236	–	64	–
Domestic waste management	924	–	923	–
Total external restrictions	4,673	–	6,274	–
Unrestricted receivables	5,208	–	4,486	–
Total net receivables	9,881	–	10,760	–

\$ '000	2021	2020
Movement in provision for impairment of receivables		
Balance at the beginning of the year	86	86
– amounts already provided for and written off this year	(5)	–
Balance at the end of the year	81	86

Accounting policy

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. Receivables are generally due for settlement within 30 days.

Impairment

Impairment of financial assets measured at amortised cost is recognised on an expected credit loss (ECL) basis.

C1-4 Receivables (continued)

When determining whether the credit risk of a financial asset has increased significantly since initial recognition, and when estimating ECL, the Council considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on Council's historical experience and informed credit assessment, and including forward-looking information.

When considering the ECL for rates debtors, Council takes into account that unpaid rates represent a charge against the rateable property that will be recovered when the property is next sold. For non-rates debtors, Council uses the presumption that an asset which is more than 30 days past due has seen a significant increase in credit risk.

The Council uses the presumption that a financial asset is in default when:

- the other party is unlikely to pay its credit obligations to the Council in full, without recourse by the Council to actions such as realising security (if any is held) or
- the financial assets (for non-rates debtors) are more than 90 days past due.

Credit losses are measured as the present value of the difference between the cash flows due to the entity in accordance with the contract, and the cash flows expected to be received. This is applied using a probability weighted approach.

On initial recognition of the asset, an estimate of the expected credit losses for the next 12 months is recognised. Where the asset has experienced significant increase in credit risk then the lifetime losses are estimated and recognised.

Council uses the simplified approach for trade receivables where the expected lifetime credit losses are recognised on day 1.

There has been no change in the estimation techniques or significant assumptions made during the current reporting period.

The Council writes off a trade receivable when there is information indicating that the debtor is in severe financial difficulty and there is no realistic prospect of recovery, e.g. when the debtor has been placed under liquidation or has entered into bankruptcy proceedings, or when the receivables are over 2 years past due, whichever occurs first.

None of the receivables that have been written off are subject to enforcement activity.

Where the Council renegotiates the terms of receivables due from certain customers, the new expected cash flows are discounted at the original effective interest rate and any resulting difference to the carrying value is recognised in profit or loss.

Rates and annual charges outstanding are secured against the property.

C1-5 Inventories

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
(i) Inventories at cost				
Real estate for resale	123	–	123	–
Stores and materials	835	–	783	–
Total inventories at cost	958	–	906	–
Total inventories	958	–	906	–

(i) Other disclosures

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
(a) Details for real estate development				
Residential	123	–	123	–
Total real estate for resale	123	–	123	–
(Valued at the lower of cost and net realisable value)				
Represented by:				
Acquisition costs	15	–	15	–
Development costs	108	–	108	–
Total costs	123	–	123	–
Total real estate for resale	123	–	123	–
Movements:				
Real estate assets at beginning of the year	123	–	123	–
Total real estate for resale	123	–	123	–

C1-5 Inventories (continued)

Accounting policy

Raw materials and stores, work in progress and finished goods

Raw materials and stores, work in progress and finished goods are stated at the lower of cost and net realisable value. Costs are assigned to individual items of inventory on the basis of weighted average costs. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Land held for resale

Land held for resale is stated at the lower of cost and net realisable value. Cost is assigned by specific identification and includes the cost of acquisition, and development and borrowing costs during development. When development is completed, borrowing costs and other holding charges are expensed as incurred.

Borrowing costs included in the cost of land held for resale are those costs that would have been avoided if the expenditure on the acquisition and development of the land had not been made. Borrowing costs incurred while active development is interrupted for extended periods are recognised as expenses.

C1-6 Contract assets and Contract cost assets

\$ '000	Notes	2021	2020
Contract assets	C1-6	5,878	3,378
Total contract assets and contract cost assets		5,878	3,378

Contract assets

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Other	5,878	—	3,378	—
Total contract assets	5,878	—	3,378	—

Significant changes in contract assets

Council completed works on roads during the 2020/21 year and issued invoices in the 2021/22 financial year.

Accounting policy

Contract assets

Contract assets represent Councils right to payment in exchange for goods or services the Council has transferred to a customer when that right is conditional on something other than the passage of time.

Contract assets arise when the amounts billed to customers are based on the achievement of various milestones established in the contract and therefore the amounts recognised as revenue in a given period do not necessarily coincide with the amounts billed to or certified by the customer. Once an invoice or payment claim is raised or the relevant milestone is reached, Council recognises a receivable.

Impairment of contract assets is assessed using the simplified expected credit loss model where lifetime credit losses are recognised on initial recognition.

C1-7 Infrastructure, property, plant and equipment

By aggregated asset class	At 1 July 2020			Asset movements during the reporting period						At 30 June 2021		
	Gross carrying amount Restated	Accumulated depreciation and impairment	Net carrying amount Restated	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Revaluation increments to equity (ARR)	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount
\$ '000												
Capital work in progress	4,796	–	4,796	–	5,516	–	–	(3,449)	–	6,863	–	6,863
Plant and equipment	32,363	(17,060)	15,303	495	–	(994)	(2,293)	–	–	29,408	(16,897)	12,511
Office equipment	1,367	(870)	497	84	–	–	(109)	–	–	1,451	(979)	472
Furniture and fittings	808	(550)	258	–	–	–	(24)	–	–	808	(574)	234
Land:												
– Operational land	7,450	–	7,450	–	–	–	–	–	–	7,450	–	7,450
– Community land	7,597	–	7,597	–	–	–	–	–	–	7,597	–	7,597
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	514	(26)	488	611	–	–	(9)	–	–	1,125	(35)	1,090
Infrastructure:												
– Buildings – non-specialised	99,507	(46,191)	53,316	1,313	–	–	(2,833)	3,007	–	103,827	(49,024)	54,803
– Buildings – specialised	24,799	(13,364)	11,435	312	–	–	(656)	20	–	25,132	(14,021)	11,111
– Other structures	13,099	(4,962)	8,137	238	–	–	(395)	17	–	13,355	(5,358)	7,997
– Roads	392,167	(139,369)	252,798	11,910	–	–	(6,478)	6	–	404,083	(145,847)	258,236
– Bridges	61,491	(28,291)	33,200	87	–	–	(606)	19	–	61,597	(28,897)	32,700
– Footpaths	8,849	(2,627)	6,222	1,202	–	–	(119)	–	–	10,051	(2,746)	7,305
– Bulk earthworks (non-depreciable)	129,481	–	129,481	–	–	–	–	–	–	129,481	–	129,481
– Stormwater drainage	30,589	(18,576)	12,013	86	–	–	(310)	–	–	30,676	(18,887)	11,789
– Water supply network	76,096	(33,740)	42,356	1,349	–	–	(974)	–	390	78,145	(35,024)	43,121
– Sewerage network	74,645	(29,594)	45,051	140	–	–	(1,325)	–	415	75,473	(31,192)	44,281
– Swimming pools	12,645	(4,546)	8,099	1,347	–	–	(214)	–	–	13,992	(4,760)	9,232
– Other open space/recreational assets	13,821	(5,321)	8,500	1,450	–	–	(354)	380	–	15,651	(5,675)	9,976
Other assets:												
– Library books	713	(510)	203	61	–	–	(66)	–	–	774	(576)	198
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):												
– Tip assets	304	(304)	–	1,801	–	–	–	–	–	2,105	(304)	1,801
– Quarry assets	639	(325)	314	530	–	–	(11)	–	–	1,170	(337)	833
Total infrastructure, property, plant and equipment	993,811	(346,226)	647,585	23,016	5,516	(994)	(16,776)	–	805	1,020,285	(361,133)	659,152

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

By aggregated asset class	At 1 July 2019			Asset movements during the reporting period							At 30 June 2020		
	Gross carrying amount	Accumulated depreciation and impairment	Net carrying amount	Additions renewals ¹	Additions new assets	Carrying value of disposals	Depreciation expense	WIP transfers	Adjustments and transfers	Revaluation increments to equity (ARR) Restated	Gross carrying amount Restated	Accumulated depreciation and impairment	Net carrying amount Restated
\$ '000													
Capital work in progress	6,630	–	6,630	–	4,796	–	–	(6,630)	–	–	4,796	–	4,796
Plant and equipment	31,785	(16,410)	15,375	2,757	–	(327)	(2,342)	–	(160)	–	32,363	(17,060)	15,303
Office equipment	1,112	(805)	307	17	220	–	(65)	18	–	–	1,367	(870)	497
Furniture and fittings	808	(509)	299	–	–	–	(41)	–	–	–	808	(550)	258
Land:													
– Operational land	7,450	–	7,450	–	–	–	–	–	–	–	7,450	–	7,450
– Community land	7,597	–	7,597	–	–	–	–	–	–	–	7,597	–	7,597
Land improvements – non-depreciable	71	–	71	–	–	–	–	–	–	–	71	–	71
Land improvements – depreciable	444	(20)	424	–	26	–	(6)	44	–	–	514	(26)	488
Infrastructure:													
– Buildings – non-specialised	91,741	(43,498)	48,243	–	6,088	–	(2,693)	891	787	–	99,507	(46,191)	53,316
– Buildings – specialised	23,021	(12,717)	10,304	–	–	–	(648)	2,565	(787)	–	24,799	(13,364)	11,435
– Other structures	9,451	(4,173)	5,278	–	2,814	–	(336)	297	83	–	13,099	(4,962)	8,137
– Roads	351,635	(120,930)	230,705	–	8,355	–	(7,895)	–	–	21,667	392,167	(139,369)	252,798
– Bridges	55,745	(25,512)	30,233	–	68	–	(550)	871	–	2,543	61,491	(28,291)	33,200
– Footpaths	7,933	(2,313)	5,620	–	237	–	(107)	36	–	436	8,849	(2,627)	6,222
– Bulk earthworks (non-depreciable)	95,290	–	95,290	–	–	–	–	–	–	34,191	129,481	–	129,481
– Stormwater drainage	28,689	(17,223)	11,466	–	171	–	(297)	–	–	673	30,589	(18,576)	12,013
– Water supply network	73,815	(32,500)	41,315	–	1,504	–	(931)	76	–	392	76,096	(33,740)	42,356
– Sewerage network	73,267	(27,979)	45,288	–	620	–	(1,350)	62	–	430	74,645	(29,594)	45,051
– Swimming pools	8,870	(4,252)	4,618	–	3,247	–	(176)	334	77	–	12,645	(4,546)	8,099
– Other open space/recreational assets	11,952	(5,013)	6,939	–	476	–	(308)	1,393	–	–	13,821	(5,321)	8,500
Other assets:													
– Library books	653	(465)	188	19	–	–	(45)	41	–	–	713	(510)	203
Reinstatement, rehabilitation and restoration assets (refer Note C3-5):													
– Tip assets	304	(304)	–	–	–	–	–	–	–	–	304	(304)	–
– Quarry assets	640	(314)	326	–	–	–	(12)	–	–	–	639	(325)	314
Total infrastructure, property, plant and equipment	888,903	(314,937)	573,966	2,793	28,622	(327)	(17,802)	(2)	–	60,332	993,811	(346,226)	647,585

(1) Renewals are defined as the replacement of existing assets (as opposed to the acquisition of new assets).

C1-7 Infrastructure, property, plant and equipment (continued)

Accounting policy

ASSET POLICY

Infrastructure, property, plant and equipment (I,PP&E)

Acquisition of assets

Council's non-current assets are continually revalued (over a 5-year period) in accordance with the fair valuation policy as mandated by the Office of Local Government.

At balance date, the following classes of I,PP&E were stated at their fair value:

- **Operational Land**
(External Valuation as at 30/6/18)
- **Buildings – Specialised**
(External Valuation as at 30/6/18)
- **Buildings – Non Specialised**
(External Valuation as at 30/6/18)
- **Plant and Equipment**
(Fair Value approximated by depreciated historical cost)
- **Roads Assets Including K&G**
(External Valuation as at 30/6/20)
- **Bridges**
(External Valuation as at 30/6/20)
- **Footpaths**
(External Valuation as at 30/6/20)
- **Bulk Earthworks**
(External Valuation as at 30/6/20)
- **Stormwater Drainage**
(External Valuation as at 30/6/20)
- **Community Land**
(External Valuation as at 30/6/18)
- **Land Improvements**
(External Valuation as at 30/6/18)
- **Water Supply Network**
(Internal Valuation as at 30/6/17)
- **Sewer Network**
(Internal Valuation as at 30/6/17)
- **Open Space Recreation**
(External Valuation as at 30/6/19)
- **Swimming Pools**
(External Valuation as at 30/6/19)
- **Other Structures**
(External Valuation as at 30/6/19)
- **Library Books**
(Fair Value approximated by depreciated historical cost)
- **Office Equipment Furniture & Fittings**
(Fair Value approximated by depreciated historical cost)
- **Reinstatements**
(Internal valuation 30/6/20)

C1-7 Infrastructure, property, plant and equipment (continued)

Initial recognition

On initial recognition, an asset's cost is measured at its fair value, plus all expenditure that is directly attributable to the acquisition.

Where settlement of any part of an asset's cash consideration is deferred, the amounts payable in the future are discounted to their present value as at the date of recognition (i.e. date of exchange) of the asset to arrive at fair value.

The discount rate used is the Council's incremental borrowing rate, being the rate at which a similar borrowing could be obtained from an independent financier under comparable terms and conditions.

Where infrastructure, property, plant and equipment assets are acquired for no cost or for an amount other than cost, the assets are recognised in the financial statements at their fair value at acquisition date – being the amount that the asset could have been exchanged between knowledgeable willing parties in an arm's length transaction.

Upon the consolidation of all asset registers from Boorowa Harden and Young upon the merger to form Hilltops Council all assets were imported with the asset useful lives that were recorded in the legacy asset registers. These useful lives and depreciation rates have been reviewed and standardised for each asset category in line with this policy at the time that revaluation of the asset categories occurs within the 5 year revaluation cycle of Council.

Subsequent costs

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to Council and the cost of the item can be measured reliably.

All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

Asset revaluations (including indexation)

In accounting for asset revaluations relating to infrastructure, property, plant and equipment:

- increases in the combined carrying amounts of asset classes arising on revaluation are credited to the asset revaluation reserve,
- to the extent that a net asset class increase reverses a decrease previously recognised via the profit or loss, then increase is first recognised in profit or loss,
- net decreases that reverse previous increases of the same asset class are first charged against revaluation reserves directly in equity to the extent of the remaining reserve attributable to the asset, with all other decreases charged to the Income Statement.

Water and sewerage network assets are indexed annually between full revaluations in accordance with the latest indices provided by DPI Water.

For all other assets, Council assesses at each reporting date whether there is any indication that a revalued asset's carrying amount may differ materially from that which would be determined if the asset were revalued at the reporting date.

If any such indication exists, Council determines the asset's fair value and revalues the asset to that amount.

Full revaluations are undertaken for all assets on a 5-year cycle. External Revaluation of Roads, Bridges, Drainage and earthworks were undertaken in 2020.

Capitalisation thresholds

Items of infrastructure, property, plant and equipment are not capitalised unless their cost of acquisition exceeds the following;

Land

- Operational land	100% Capitalised
- Community land	100% Capitalised
- Open space	100% Capitalised
- Land under roads (purchases after 30/6/08)	100% Capitalised
- Land Improvement	> \$5,000

Plant and Equipment

Plant & Equipment	> \$5,000
Office Furniture	> \$5,000
Office Equipment	> \$5,000

Building

- Buildings Specialised	> \$10,000
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C1-7 Infrastructure, property, plant and equipment (continued)

- Buildings Non-Specialised	> \$10,000
- Buildings Other	> \$5,000
Water Supply Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Sewer Network	
Reticulation extensions	> \$5,000
Other	> \$5,000
Stormwater Assets	
Drains and Culverts	> \$5,000
Other	> \$5,000
Road Assets	
Road construction and reconstruction	> \$10,000
Bridge construction and reconstruction	> \$10,000
Footpaths	> \$5,000
Kerb & Gutter	> \$5,000
Other Infrastructure Assets	
Swimming Pools	> \$5,000
Open Space/Recreational Assets	> \$5,000
Other Structures	> \$5,000
Quarries & Pits	> \$5,000
Library Books	
- Books & Equipment	> \$5,000

Depreciation

Depreciation on Council's infrastructure, property, plant and equipment assets is calculated using the straight-line method in order to allocate an asset's cost over its estimated useful life.

Land is not depreciated.

Estimated useful lives for Council's I, PP and E include:

Plant and Equipment

- Office Equipment	4 to 10 years
- Office furniture	4 to 10 years
- Computer Equipment	4 years
- Light Vehicles	4 to 10 years
- Heavy Plant/Road Making equip.	5 to 10 years
- Other plant and equipment	5 to 25 years

Other Equipment

- Playground equipment	5 to 15 years
- Benches, seats etc	10 to 20 years

Buildings

- Buildings Specialised	40 to 60 years
- Buildings Non-Specialised	40 to 100 years
- Buildings Other	40 to 60 years

Stormwater Drainage

- Drains	80 to 100 years
- Culverts	80 to 100 years

Road Assets

- Sealed Roads: Surface	15 to 50 years
- Sealed Roads: Structure	50 to 150 years
- Bridge: Concrete	80 to 100 years
- Footpaths	15 to 50 years
- Kerb & Gutter	15 to 50 years
- Bulk earthworks	Not Depreciated

continued on next page ...

C1-7 Infrastructure, property, plant and equipment (continued)

Water and Sewer Assets

- Dams and reservoirs	80 to 100 years
- Reticulation pipes: PVC	70 to 80 years
- Reticulation pipes: Other	25 to 75 years
- Pumps and telemetry	10 to 20 years

Other Infrastructure Assets

- Bulk earthworks	Not Depreciated
- Swimming Pools	25 to 60 years
- Open Space Recreational Assets	15 to 60 years
- Other Structures	20 to 60 years

Quarries & Pits	3-5 Years
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Library Books

- Books & Equipment	5 Years
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All asset values and useful lives are reviewed and adjusted (if appropriate) at each reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Disposal and derecognition

An item of property, plant and equipment is derecognised upon disposal or when no further future economic benefits are expected from its use or disposal.

Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in Council's Income Statement in the year the asset is derecognised.

Land

Land (other than land under roads) is in accordance with Part 2 of Chapter 6 of the *Local Government Act (1993)* classified as either operational or community.

Land under roads

Land under roads is land under roadways and road reserves, including land under footpaths, nature strips and median strips.

Council has elected not to recognise land under roads acquired before 1 July 2008 in accordance with AASB 1051.

Land under roads acquired after 1 July 2008 is recognised in accordance with AASB 116 – Property, Plant and Equipment.

Intangible assets

Council has not classified any assets as intangible.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council.

While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Investment property

Investment property comprises land and/or buildings that are principally held for long-term rental yields, capital gains or both, that is not occupied by Council.

Investment property is carried at fair value, representing an open-market value determined annually by external valuers.

C1-7 Infrastructure, property, plant and equipment (continued)

Annual changes in the fair value of investment properties are recorded in the Income Statement as part of 'other income'.

Full revaluations are carried out every 5 years with an appropriate index utilised each year in between the full revaluations.

The last full revaluation for Council's investment properties was dated at 30 June 2018.

Provisions for Restoration and for Environmental Clean-up Costs – including Tips and Quarries

Close down, restoration and remediation costs include the dismantling and demolition of infrastructure, the removal of residual materials and the remediation of disturbed areas.

Estimated close down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs.

Provisions for close down and restoration costs do not include any additional obligations that are expected to arise from future disturbance.

Costs are estimated on the basis of a closure plan.

The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

Close down, restoration and remediation costs are a normal consequence of tip and quarry operations, and the majority of close down and restoration expenditure is incurred at the end of the life of the operations.

Although the ultimate cost to be incurred is uncertain, Council estimates the respective costs based on feasibility and engineering studies using current restoration standards and techniques.

The amortisation or 'unwinding' of the discount applied in establishing the net present value of provisions is charged to the Income Statement in each accounting period.

This amortisation of the discount is disclosed as a borrowing cost in Note B3-3.

Other movements in the provisions for close down, restoration and remediation costs including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations and revisions to discount rates are capitalised within property, plant and equipment.

These costs are then depreciated over the lives of the assets to which they relate.

Where rehabilitation is conducted systematically over the life of the operation, rather than at the time of closure, provision is made for the estimated outstanding continuous rehabilitation work at each balance sheet date and the cost is charged to the Income Statement.

Provision is made for the estimated present value of the costs of environmental clean-up obligations outstanding at the balance sheet date.

These costs are charged to the Income Statement.

Movements in the environmental clean-up provisions are presented as an operating cost, except for the unwinding of the discount, which is shown as a borrowing cost.

Remediation procedures generally commence soon after the time the damage, remediation process and estimated remediation costs become known, but may continue for many years depending on the nature of the disturbance and the remediation techniques.

As noted above, the ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques or experience at other locations.

The expected timing of expenditure can also change, for example, in response to changes in quarry reserves or production rates.

As a result there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

C1-7 Infrastructure, property, plant and equipment (continued)

Specific information about Council's provisions relating to close down, restoration and remediation costs can be found at Note C3-5.

Non-current assets (or disposal groups) 'held for sale' and discontinued operations

Non-current assets (or disposal groups) are classified as held for sale and stated at the lower of either

- their carrying amount and
- fair value less costs to sell, if their carrying amount will be recovered principally through a sale transaction rather than through continuing use.

The exception to this is plant and motor vehicles, which are turned over on a regular basis. Plant and motor vehicles are retained in non-current assets under the classification of infrastructure, property, plant and equipment.

For any assets or disposal groups classified as non-current assets 'held for sale', an impairment loss is recognised at any time when the assets carrying value is greater than its fair value less costs to sell.

Non-current assets 'held for sale' are not depreciated or amortised while they are classified as 'held for sale'.

Non-current assets classified as 'held for sale' are presented separately from the other assets in the balance sheet.

A discontinued operation is a component of Council that has been disposed of or is classified as 'held for sale' and that represents a separate major line of business or geographical area of operations, is part of a single co-ordinated plan to dispose of such a line of business or area of operations, or is a subsidiary acquired exclusively with a view to resale.

The results of discontinued operations are presented separately on the face of the Income Statement.

Impairment of assets

All Council's I,PP&E is subject to an annual assessment of impairment.

Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

The recoverable amount is the higher of an asset's fair value less costs to sell and value in use.

Where an asset is not held principally for cash-generating purposes (for example infrastructure assets) and would be replaced if the Council was deprived of it, then depreciated replacement cost is used as value in use, otherwise value in use is estimated by using a discounted cash flow model.

Non-financial assets (other than goodwill) that suffered a prior period impairment are reviewed for possible reversal of the impairment at each reporting date.

Goodwill and other intangible assets that have an indefinite useful life and are not subject to amortisation are tested annually for impairment.

Crown reserves

Crown reserves under Council's care and control are recognised as assets of the Council. While ownership of the reserves remains with the Crown, Council retains operational control of the reserves and is responsible for their maintenance and use in accordance with the specific purposes to which the reserves are dedicated. Where the Crown reserves are under a lease arrangement they are accounted for under AASB 16 Leases, refer to Note C2-1.

Improvements on Crown reserves are also recorded as assets, while maintenance costs incurred by Council and revenues relating to the reserves are recognised within Council's Income Statement.

Rural Fire Service assets

Under Section 119 of the *Rural Fire Services Act 1997 (NSW)*, "all firefighting equipment purchased or constructed wholly or from money to the credit of the Fund is to be vested in the council of the area for or on behalf of which the firefighting equipment has been purchased or constructed".

Until such time as discussions on this matter have concluded and the legislation changed, Council will recognise rural fires service assets including land and buildings, but will not recognise plant and vehicles.

Externally restricted infrastructure, property, plant and equipment

	as at 30/06/21			as at 30/06/20		
	Gross carrying amount	Accumulated depn. and impairment	Net carrying amount	Gross carrying amount Restated	Accumulated depn. and impairment	Net carrying amount Restated
\$ '000						
Water supply						
Plant and equipment	722	612	110	719	586	133
Office equipment	98	65	33	99	62	37
Land						
– Operational land	196	–	196	196	–	196
Buildings	18	1	17	18	18	–
Infrastructure	78,145	35,024	43,121	76,096	34,054	42,042
Total water supply	79,179	35,702	43,477	77,128	34,720	42,408
Sewerage services						
Plant and equipment	1,907	1,890	17	1,907	1,862	45
Land						
– Operational land	570	–	570	570	–	570
Buildings	875	197	678	803	188	615
Infrastructure	75,498	31,192	44,306	74,665	29,647	45,018
Total sewerage services	78,850	33,279	45,571	77,945	31,697	46,248
Domestic waste management						
Plant and equipment	401	146	255	254	–	254
Land						
Total domestic waste management	401	146	255	254	–	254
Other restricted assets						
Plant and equipment	1,358	964	394	1,552	1,085	467
Other Structures	199	41	158	199	38	161
Total other restrictions	1,557	1,005	552	1,751	1,123	628
Total restricted infrastructure, property, plant and equipment	159,987	70,132	89,855	157,078	67,540	89,538

C2 Leasing activities

C2-1 Council as a lessee

Council has a lease over Vehicles in the asset class plant and equipment. Information relating to the leases in place and associated balances and transactions is provided below.

Vehicles

Council leases 2 vehicles for waste collection and recycling with lease terms over 7 years; the lease payments are fixed during the lease term and there is no renewal option.

Office and IT equipment

Leases for office and IT equipment are generally for low value assets, except for significant items such as photocopiers. The leases are for between 3 and 8 years with no renewal option, the payments are fixed, however some of the leases include variable payments based on usage.

(a) Right of use assets

\$ '000	Plant & Equipment	Ready to use	Office Equipment	Total
2021				
Opening balance at 1 July	522	–	–	522
Additions to right-of-use assets	–	–	106	106
Depreciation charge	(118)	–	(14)	(132)
Balance at 30 June	404	–	92	496
2020				
Opening balance at 1 July	640	–	–	640
Depreciation charge	(118)	–	–	(118)
Balance at 30 June	522	–	–	522

(b) Lease liabilities

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Lease liabilities	137	385	109	430
Total lease liabilities	137	385	109	430

(c) (i) The maturity analysis

The maturity analysis of lease liabilities based on contractual undiscounted cash flows is shown in the table below:

\$ '000	< 1 year	1 – 5 years	> 5 years	Total	Total per Statement of Financial Position
2021					
Cash flows	136	385	–	521	522
2020					
Cash flows	141	480	–	621	539

(d) Income Statement

C2-1 Council as a lessee (continued)

The amounts recognised in the Income Statement relating to leases where Council is a lessee are shown below:

\$ '000	2021	2020
Interest on lease liabilities	32	39
Depreciation of right of use assets	132	118
Expenses relating to short-term leases	12	6
	176	163

(e) Statement of Cash Flows

Total cash outflow for leases	(155)	(141)
	(155)	(141)

(f) Leases at significantly below market value – concessionary / peppercorn leases

Accounting policy

At inception of a contract, Council assesses whether a lease exists – i.e. does the contract convey the right to control the use of an identified asset for a period of time in exchange for consideration?

Council has elected not to separate non-lease components from lease components for any class of asset and has accounted for payments as a single component.

At the lease commencement, Council recognises a right-of-use asset and associated lease liability for the lease term. The lease term includes extension periods where Council believes it is reasonably certain that the option will be exercised.

The right-of-use asset is measured using the cost model where cost on initial recognition comprises: the lease liability, initial direct costs, prepaid lease payments, estimated cost of removal and restoration, less any lease incentives received. The right-of-use asset is depreciated over the lease term on a straight-line basis and assessed for impairment in accordance with the impairment of asset accounting policy.

The lease liability is initially recognised at the present value of the remaining lease payments at the commencement of the lease. The discount rate is the rate implicit in the lease, however where this cannot be readily determined then the Council's incremental borrowing rate for a similar term with similar security is used.

Subsequent to initial recognition, the lease liability is measured at amortised cost using the effective interest rate method. The lease liability is re-measured when there is a lease modification, or change in estimate of the lease term or index upon which the lease payments are based (e.g. CPI).

Where the lease liability is re-measured, the right-of-use asset is adjusted to reflect the re-measurement.

Exceptions to lease accounting

Council has applied the exceptions to lease accounting for both short-term leases (i.e. leases with a term of less than or equal to 12 months) and leases of low-value assets. Council recognises the payments associated with these leases as an expense on a straight-line basis over the lease term.

Leases at significantly below market value / Concessionary leases

Council has elected to measure the right of use asset arising from the concessionary leases at cost which is based on the associated lease liability at initial recognition.

C2-2 Council as a lessor

Operating leases

Council leases out a number of properties and /or plant and equipment to community groups; these leases have been classified as operating leases for financial reporting purposes and the assets are included as IPP&E (refer in this note part (v) below) in the Statement of Financial Position.

C2-2 Council as a lessor (continued)

The amounts recognised in the Income Statement relating to operating leases where Council is a lessor are shown below:

\$ '000	2021	2020
(i) Assets held as property, plant and equipment		
Council provides operating leases on Council buildings for the purpose of commercial occupation, the table below relates to operating leases on assets disclosed in C1-8.		
Lease income (excluding variable lease payments not dependent on an index or rate)	610	568
Total income relating to operating leases for Council assets	610	568

Accounting policy

When Council is a lessor, the lease is classified as either an operating or finance lease at inception date, based on whether substantially all of the risks and rewards incidental to ownership of the asset have been transferred to the lessee. If the risks and rewards have been transferred then the lease is classified as a finance lease, otherwise it is an operating lease.

When Council has a sub-lease over an asset and is the intermediate lessor then the head lease and sub-lease are accounted for separately. The classification of the sub-lease is based on the right-of-use asset which arises from the head lease rather than the useful life of the underlying asset.

If the lease contains lease and non-lease components, the non-lease components are accounted for in accordance with AASB 15 *Revenue from Contracts with Customers*.

The lease income is recognised on a straight-line basis over the lease term for an operating lease and as finance income using amortised cost basis for finance leases.

C3 Liabilities of Council

C3-1 Payables

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Payables				
Prepaid rates	–	–	–	–
Goods and services – operating expenditure	1,557	–	2,273	–
Accrued expenses:				
– Borrowings	36	–	–	–
– Salaries and wages	319	–	239	–
– Other expenditure accruals	1,130	82	1,398	73
Funds held for Section 355 Committees	139	–	139	–
Security bonds, deposits and retentions	1,137	–	1,098	–
ATO – net GST payable	313	–	334	–
Government departments and agencies	(3)	–	325	–
Other	312	–	235	–
Total payables	4,940	82	6,041	73
Total payables	4,940	82	6,041	73

Payables relating to restricted assets

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Externally restricted assets				
Water	495	–	227	–
Sewer	43	–	19	–
Payables relating to externally restricted assets	538	–	246	–
Total payables relating to restricted assets	538	–	246	–
Total payables relating to unrestricted assets	4,402	82	5,795	73
Total payables	4,940	82	6,041	73

Current payables not anticipated to be settled within the next twelve months

\$ '000	2021	2020
The following liabilities, even though classified as current, are not expected to be settled in the next 12 months.		
Payables – security bonds, deposits and retentions	997	995
Total payables	997	995

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Payables

Payables represent liabilities for goods and services provided to Council prior to the end of financial year that are unpaid. The amounts are unsecured and are usually paid within 30 days of recognition.

C3-2 Contract Liabilities

C3-2 Contract Liabilities (continued)

\$ '000	Notes	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Grants and contributions received in advance:					
Unexpended capital grants (to construct Council controlled assets)	(i)	6,663	–	6,284	–
Unexpended operating grants (received prior to performance obligation being satisfied)	(ii)	592	–	147	–
Total grants received in advance		7,255	–	6,431	–
User fees and charges received in advance:					
Other		755	–	566	–
Total user fees and charges received in advance		755	–	566	–
Total contract liabilities		8,010	–	6,997	–

Notes

(i) Council has received funding to construct assets including sporting facilities, bridges, library and other infrastructure. The funds received are under an enforceable contract which require Council to construct an identified asset which will be under Council's control on completion. The revenue is recognised as Council constructs the asset and the contract liability reflects the funding received which cannot yet be recognised as revenue. The revenue is expected to be recognised in the next 12 months.

(ii) The contract liability relates to grants received prior to the revenue recognition criteria in AASB 15 being satisfied since the performance obligations are ongoing.

Revenue recognised that was included in the contract liability balance at the beginning of the period

\$ '000	2021	2020
Grants and contributions received in advance:		
Capital grants (to construct Council controlled assets)	1,734	7,332
Total revenue recognised that was included in the contract liability balance at the beginning of the period	1,734	7,332

Significant changes in contract liabilities

Council received additional grant funding under the Local Roads Capital Improvement Program (LRCIP) which could not be spent during the current year.

Accounting policy

Contract liabilities are recorded when consideration is received from a customer / fund provider prior to Council transferring a good or service to the customer, Council presents the funds which exceed revenue recognised as a contract liability.

C3-3 Borrowings

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Loans – secured ¹	1,872	15,310	1,910	17,184
Total borrowings	1,872	15,310	1,910	17,184

(1) Loans are secured over the general rating income of Council.

Disclosures on liability interest rate risk exposures, fair value disclosures and security can be found in Note E1-1.

C3-3 Borrowings (continued)

Borrowings relating to restricted assets

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Externally restricted assets				
Water	337	2,890	332	3,227
Sewer	750	8,952	728	9,702
Borrowings relating to externally restricted assets	1,087	11,842	1,060	12,929
Total borrowings relating to restricted assets	1,087	11,842	1,060	12,929
Total borrowings relating to unrestricted assets	785	3,468	850	4,255
Total borrowings	1,872	15,310	1,910	17,184

Current borrowings not anticipated to be settled within the next twelve months

The following borrowings, even though classified as current, are not expected to be settled in the next 12 months.

Changes in liabilities arising from financing activities

\$ '000	2020		Non-cash movements				2021
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	19,094	(1,912)	–	–	–	–	17,182
Lease liability (Note C2-1b)	539	(17)	–	–	–	–	522
Total liabilities from financing activities	19,633	(1,929)	–	–	–	–	17,704

\$ '000	2019		Non-cash movements				2020
	Opening Balance	Cash flows	Acquisition	Fair value changes	Acquisition due to change in accounting policy	Other non-cash movement	Closing balance
Loans – secured	11,856	7,238	–	–	–	–	19,094
Lease liability (Note C2-1b)	–	539	–	–	–	–	539
Total liabilities from financing activities	11,856	7,777	–	–	–	–	19,633

Accounting policy

Council measures all financial liabilities initially at fair value less transaction costs, subsequently financial liabilities are measured at amortised cost using the effective interest rate method.

Fees paid on the establishment of loan facilities are recognised as transaction costs of the loan to the extent that it is probable that some or all of the facility will be drawn down.

Borrowings are removed from the Statement of Financial Position when the obligation specified in the contract is discharged, cancelled or expired. The difference between the carrying amount of a financial liability that has been extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in other income or borrowing costs.

C3-4 Employee benefit provisions

\$ '000	2021 Current	2021 Non-current	2020 Current	2020 Non-current
Annual leave	1,995	–	1,918	–
Sick leave	734	–	793	–
Long service leave	2,964	1,596	2,604	1,565
RDO leave	278	–	251	–
Total employee benefit provisions	5,971	1,596	5,566	1,565

Employee benefit provisions relating to restricted assets

Externally restricted assets

Water	233	–	456	–
Sewer	124	–	242	–
Employee benefit provisions relating to externally restricted assets	357	–	698	–
Total employee benefit provisions relating to restricted assets	357	–	698	–
Total employee benefit provisions relating to unrestricted assets	5,614	1,596	4,868	1,565
Total employee benefit provisions	5,971	1,596	5,566	1,565

Current employee benefit provisions not anticipated to be settled within the next twelve months

\$ '000	2021	2020
The following provisions, even though classified as current, are not expected to be settled in the next 12 months.		
Provisions – employees benefits	3,958	3,873
	3,958	3,873

C3-4 Employee benefit provisions (continued)

Description of and movements in provisions

\$ '000	ELE provisions				Total
	Annual leave	Sick leave	Long service leave	Other employee benefits	
2021					
At beginning of year	1,918	793	4,169	251	7,131
Additional provisions	1,308	–	720	27	2,055
Amounts used (payments)	(1,231)	(59)	(329)	–	(1,619)
Total ELE provisions at end of year	1,995	734	4,560	278	7,567
2020					
At beginning of year	1,724	758	4,630	109	7,221
Additional provisions	1,388	35	127	142	1,692
Amounts used (payments)	(1,194)	–	(588)	–	(1,782)
Total ELE provisions at end of year	1,918	793	4,169	251	7,131

Accounting policy

Employee benefit provisions are presented as current liabilities in the Statement of Financial Position if Council does not have an unconditional right to defer settlement for at least 12 months after the reporting date, regardless of when the actual settlement is expected to occur and therefore all annual leave and vested long service leave (or that which vests within 12 months) is presented as current.

Short-term obligations

Liabilities for wages and salaries (including non-monetary benefits, annual leave and accumulating sick leave expected to be wholly settled within 12 months after the end of the period in which the employees render the related service) are recognised in respect of employees' services up to the end of the reporting period and are measured at the amounts expected to be paid when the liabilities are settled. The liability for annual leave and accumulating sick leave is recognised in the provision for employee benefits. All other short-term employee benefit obligations are presented as payables.

Other long-term employee benefit obligations

The liability for long-service leave and annual leave that is not expected to be wholly settled within 12 months after the end of the period in which the employees render the related service is recognised in the provision for employee benefits and measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. Consideration is given to expected future wage and salary levels, experience of employee departures, and periods of service. Expected future payments are discounted using market yields at the end of the reporting period on national government bonds with terms to maturity and currency that match, as closely as possible, the estimated future cash outflows.

On-costs

The employee benefit provisions include the aggregate on-cost liabilities that will arise when payment of current employee benefits is made in future periods.

These amounts include superannuation, payroll tax and workers compensation expenses which will be payable upon the future payment of certain leave liabilities which employees are entitled to at the reporting period.

C3-5 Provisions

\$ '000	2021 Current	2021 Non-Current	2020 Current	2020 Non-Current
Asset remediation/restoration:				
Asset remediation/restoration (future works)	1,231	9,430	–	8,274
Sub-total – asset remediation/restoration	1,231	9,430	–	8,274
Total provisions	1,231	9,430	–	8,274

Description of and movements in provisions

C3-5 Provisions (continued)

\$ '000	Asset remediation	Net carrying amount
2021		
At beginning of year	8,274	8,274
Changes to provision:		
– Revised discount rate	2,331	2,331
Unwinding of discount	56	56
Total other provisions at end of year	10,661	10,661
2020		
At beginning of year	8,034	8,034
Unwinding of discount	240	240
Total other provisions at end of year	8,274	8,274

Accounting policy

Provisions are recognised when Council has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources will be required to settle the obligation, and the amount has been reliably estimated.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the reporting date. The discount rate used to determine the present value reflects current market assessments of the time value of money and the risks specific to the liability. The increase in the provision due to the passage of time is recognised as a borrowing cost.

Asset remediation – tips and quarries

Close-down and restoration costs include the dismantling and demolition of infrastructure, and the removal of residual materials and remediation of disturbed areas. Estimated close-down and restoration costs are provided for in the accounting period when the obligation arising from the related disturbance occurs, whether this occurs during the development or during the operation phase, based on the net present value of estimated future costs. Provisions for close-down and restoration costs do not include any additional obligations which are expected to arise from future disturbance. The cost estimates are calculated annually during the life of the operation to reflect known developments, e.g. updated cost estimates and revisions to the estimated lives of operations, and are subject to formal review at regular intervals.

The ultimate cost of environmental remediation is uncertain and cost estimates can vary in response to many factors, including changes to the relevant legal requirements, the emergence of new restoration techniques, or experience at other locations. The expected timing of expenditure can also change, for example in response to changes in quarry reserves or production rates. As a result, there could be significant adjustments to the provision for close down and restoration and environmental clean-up, which would affect future financial results.

Other movements in the provisions for close-down and restoration costs, including those resulting from new disturbance, updated cost estimates, changes to the estimated lives of operations, and revisions to discount rates, are capitalised within infrastructure, property, plant and equipment. These costs are then depreciated over the lives of the assets to which they relate.

C4 Reserves

C4-1 Nature and purpose of reserves

Infrastructure, property, plant and equipment revaluation reserve

The infrastructure, property, plant and equipment (IPPE) revaluation reserve is used to record increments and decrements in the revaluation of infrastructure, property, plant and equipment.

Fair value through other comprehensive income reserve (FVOCI)

Changes in the fair value of financial assets are taken through the fair value through other comprehensive income revaluation reserve. The accumulated changes in fair value are transferred to profit or loss when the financial asset is derecognised or impaired.

D Council structure

D1 Results by fund

General fund refers to all Council activities other than water and sewer. All amounts disclosed in this note are gross i.e. inclusive of internal charges and recoveries made between the funds. Assets and liabilities shown in the water and sewer columns are restricted for use for these activities.

D1-1 Income Statement by fund

\$ '000	Other [*] 2021	General 2021	Water 2021	Sewer 2021
Income from continuing operations				
Rates and annual charges	–	16,421	3,169	4,374
User charges and fees	–	3,786	4,847	41
Interest and investment revenue	23	58	113	42
Other revenues	–	946	–	–
Grants and contributions provided for operating purposes	1,820	15,346	89	–
Grants and contributions provided for capital purposes	–	17,767	160	49
Other income	–	616	–	–
Total income from continuing operations	1,843	54,940	8,378	4,506
Expenses from continuing operations				
Employee benefits and on-costs	7	18,418	883	595
Materials and services	1,182	10,441	5,018	967
Borrowing costs	–	258	54	408
Depreciation, amortisation and impairment of non-financial assets	76	14,463	1,005	1,364
Other expenses	–	1,289	17	3
Net losses from the disposal of assets	–	842	–	–
Total expenses from continuing operations	1,265	45,711	6,977	3,337
Operating result from continuing operations	578	9,229	1,401	1,169
Net operating result for the year	578	9,229	1,401	1,169
Net operating result attributable to each council fund	578	9,229	1,401	1,169
Net operating result for the year before grants and contributions provided for capital purposes	578	(8,538)	1,241	1,120

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

D1-2 Statement of Financial Position by fund

\$ '000	Other 2021	General 2021	Water 2021	Sewer 2021
ASSETS				
Current assets				
Cash and cash equivalents	–	(4,996)	9,100	5,701
Investments	4,373	13,503	8,064	1,075
Receivables	319	5,813	2,805	944
Inventories	–	958	–	–
Contract assets and contract cost assets	–	5,878	–	–
Total current assets	4,692	21,156	19,969	7,720
Non-current assets				
Infrastructure, property, plant and equipment	552	569,552	43,477	45,571
Right of use assets	–	496	–	–
Total non-current assets	552	570,048	43,477	45,571
TOTAL ASSETS	5,244	591,204	63,446	53,291
LIABILITIES				
Current liabilities				
Payables	1	4,401	495	43
Contract liabilities	–	8,010	–	–
Lease liabilities	–	137	–	–
Borrowings	–	785	337	750
Employee benefit provision	–	5,614	233	124
Provisions	–	1,231	–	–
Total current liabilities	1	20,178	1,065	917
Non-current liabilities				
Payables	–	82	–	–
Lease liabilities	–	385	–	–
Borrowings	–	3,468	2,890	8,952
Employee benefit provision	–	1,596	–	–
Provisions	–	9,430	–	–
Total non-current liabilities	–	14,961	2,890	8,952
TOTAL LIABILITIES	1	35,139	3,955	9,869
Net assets	5,243	556,065	59,491	43,422
EQUITY				
Accumulated surplus	5,241	474,485	57,205	41,163
Revaluation reserves	2	80,795	2,286	2,259
Other reserves	–	785	–	–
Council equity interest	5,243	556,065	59,491	43,422
Total equity	5,243	556,065	59,491	43,422

(*) Other represents South West Rural Fire Zone and South West Regional Waste Management

E Risks and accounting uncertainties

E1-1 Risks relating to financial instruments held

Council's activities expose it to a variety of financial risks including **(1)** price risk, **(2)** credit risk, **(3)** liquidity risk and **(4)** interest rate risk.

The Council's overall risk management program focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the financial performance of the Council.

Council does not engage in transactions expressed in foreign currencies and is therefore not subject to foreign currency risk.

Financial risk management is carried out by Council's finance section under policies approved by the Council.

A comparison by category of the carrying amounts and fair values of Council's financial assets and financial liabilities recognised in the financial statements is presented below.

\$ '000	Carrying value 2021	Carrying value 2020	Fair value 2021	Fair value 2020
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	9,805	22,048	9,805	17,586
Receivables	9,881	10,760	9,881	10,760
Investments				
– 'Held to maturity'	27,015	13,963	27,015	18,661
Total financial assets	46,701	46,771	46,701	47,007
Financial liabilities				
Payables	5,022	6,114	5,022	6,350
Loans/advances	17,182	19,094	17,182	19,094
Total financial liabilities	22,204	25,208	22,204	25,444

Fair value is determined as follows:

- **Cash and cash equivalents, receivables, payables** – are estimated to be the carrying value that approximates market value.
- **Borrowings and measure at amortised cost investments** – are based upon estimated future cash flows discounted by the current market interest rates applicable to assets and liabilities with similar risk profiles, unless quoted market prices are available.
- Financial assets classified (i) **at fair value through profit and loss** or (ii) **at fair value through other comprehensive income** – are based upon quoted market prices (in active markets for identical investments) at the reporting date or independent valuation.

Council's objective is to maximise its return on cash and investments whilst maintaining an adequate level of liquidity and preserving capital.

Council's finance area manages the cash and Investments portfolio with the assistance of independent advisors.

Council has an investment policy which complies with the Local Government Act 1993 and Minister's investment order 625. This policy is regularly reviewed by Council and its staff and an investment report is tabled before Council on a monthly basis setting out the portfolio breakup and its performance as required by Local Government regulations.

The risks associated with the instruments held are:

- **Price risk** – the risk that the capital value of Investments may fluctuate due to changes in market prices, whether these changes are caused by factors specific to individual financial instruments or their issuers or are caused by factors affecting similar instruments traded in a market.
- **Interest rate risk** – the risk that movements in interest rates could affect returns and income.
- **Liquidity risk** – the risk that Council will not be able to pay its debts as and when they fall due.

E1-1 Risks relating to financial instruments held (continued)

- **Credit risk** – the risk that the investment counterparty will not complete their obligations particular to a financial instrument, resulting in a financial loss to Council – be it of a capital or income nature.

Council manages these risks (amongst other measures) by diversifying its portfolio and only purchasing investments with high credit ratings or capital guarantees.

Council also seeks advice from independent advisers before placing any funds in cash equivalents and investments.

(a) Market risk – interest rate and price risk

\$ '000	2021	2020
The impact on result for the year and equity of a reasonably possible movement in the price of investments held and interest rates is shown below. The reasonably possible movements were determined based on historical movements and economic conditions in place at the reporting date.		
Impact of a 1% movement in interest rates		
– Equity / Income Statement	272	359
Impact of a 10% movement in price of investments		
– Equity / Income Statement	–	–

(b) Credit risk

Council's major receivables comprise (i) rates and annual charges and (ii) user charges and fees.

Council manages the credit risk associated with these receivables by monitoring outstanding debt and employing stringent debt recovery procedures. Council also encourages ratepayers to pay their rates by the due date through incentives.

The credit risk for liquid funds and other short-term financial assets is considered negligible, since the counterparties are reputable banks with high quality external credit ratings.

There are no significant concentrations of credit risk, whether through exposure to individual customers, specific industry sectors and/or regions.

The level of outstanding receivables is reported to Council monthly and benchmarks are set and monitored for acceptable collection performance.

Council makes suitable provision for doubtful receivables as required and carries out credit checks on most non-rate debtors.

There are no material receivables that have been subjected to a re-negotiation of repayment terms.

Credit risk profile

Receivables – rates and annual charges

Credit risk on rates and annual charges is minimised by the ability of Council to recover these debts as a secured charge over the land; that is, the land can be sold to recover the debt. Council is also able to charge interest on overdue rates and annual charges at higher than market rates which further encourages payment.

\$ '000	Not yet overdue	< 1 year overdue	1 - 2 years overdue	2 - 5 years overdue	> 5 years overdue	Total
2021						
Gross carrying amount	799	663	829	845	552	3,688
2020						
Gross carrying amount	83	2,285	319	332	181	3,200

Receivables - non-rates and annual charges and contract assets

Council applies the simplified approach for non-rates and annual charges debtors and contract assets to provide for expected credit losses, which permits the use of the lifetime expected loss provision at inception. To measure the expected credit losses, non-rates and annual charges debtors and contract assets have been grouped based on shared credit risk characteristics and the days past due.

E1-1 Risks relating to financial instruments held (continued)

The loss allowance provision is determined as follows. The expected credit losses incorporate forward-looking information.

\$ '000	Not yet overdue	0 - 30 days overdue	31 - 60 days overdue	61 - 90 days overdue	> 91 days overdue	Total
2021						
Gross carrying amount	3,693	–	5	857	1,719	6,274
Expected loss rate (%)	0.00%	0.00%	0.00%	2.90%	3.00%	1.22%
ECL provision	–	–	–	25	52	77
2020						
Gross carrying amount	6,664	40	301	352	289	7,646
Expected loss rate (%)	0.00%	4.00%	5.00%	10.00%	10.00%	1.06%
ECL provision	–	2	15	35	29	81

(c) Liquidity risk

Payables, lease liabilities and borrowings are both subject to liquidity risk; that is, the risk that insufficient funds may be on hand to meet payment obligations as and when they fall due.

Council manages this risk by monitoring its cash flow requirements and liquidity levels, and by maintaining an adequate cash buffer. Payment terms can be extended, and overdraft facilities drawn upon in extenuating circumstances.

Borrowings are also subject to interest rate risk: the risk that movements in interest rates could adversely affect funding costs. Council manages this risk through diversification of borrowing types, maturities and interest rate structures.

The finance team regularly reviews interest rate movements to determine if it would be advantageous to refinance or renegotiate part or all of the loan portfolio.

The timing of cash flows presented in the table below to settle financial liabilities reflects the earliest contractual settlement dates. The timing of expected outflows is not expected to be materially different from contracted cashflows.

The amounts disclosed in the table are the undiscounted contracted cash flows for non-lease liabilities (refer to Note C2-1(b) for lease liabilities) and therefore the balances in the table may not equal the balances in the Statement of Financial Position due to the effect of discounting.

\$ '000	Weighted average interest rate	Subject to no maturity	≤ 1 Year	payable in: 1 - 5 Years	> 5 Years	Total cash outflows	Actual carrying values
2021							
Trade/other payables	0.00%	1,137	3,885	–	–	5,022	5,022
Loans and advances	0.00%	–	1,872	7,950	7,360	17,182	17,182
Total financial liabilities		1,137	5,757	7,950	7,360	22,204	22,204
2020							
Trade/other payables	0.00%	1,098	5,252	–	–	6,350	6,114
Loans and advances	3.60%	–	1,968	8,341	8,785	19,094	19,094
Total financial liabilities		1,098	7,220	8,341	8,785	25,444	25,208

E2-1 Fair value measurement

The Council measures the following asset and liability classes at fair value on a recurring basis:

- Infrastructure, property, plant and equipment
- Financial assets and liabilities

The fair value of assets and liabilities must be estimated in accordance with various accounting standards for either recognition and measurement requirements or for disclosure purposes.

AASB 13 Fair Value Measurement requires all assets and liabilities measured at fair value to be assigned to a 'level' in the fair value hierarchy as follows:

Level 1: Unadjusted quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date.

Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3: Inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Fair value measurement hierarchy								
	Date of latest valuation	2021	2020	Level 2 Significant observable inputs		Level 3 Significant unobservable inputs		Total
				2021	2020	2021	2020	2021 2020
\$ '000							Restated	Restated
Recurring fair value measurements								
Infrastructure, property, plant and equipment	C1-7							
Plant & Equipment	30/6/2018	30/06/18	–	–	12,511	15,303	12,511	15,303
Office Equipment, Furniture & Fittings	30/6/2018	30/06/18	–	–	706	755	706	755
Operational Land	30/6/2018	30/06/18	7,450	7,450	–	–	7,450	7,450
Community Land	30/6/2018	30/06/18	–	–	7,597	7,597	7,597	7,597
Land Improvements	30/6/2018	30/06/18	–	–	1,161	559	1,161	559
Buildings – Specialised	30/6/2018	30/06/18	–	–	11,111	11,435	11,111	11,435
Buildings Non-Specialised	30/6/2018	30/06/18	–	–	54,803	53,316	54,803	53,316
Other structures	30/6/2019	30/06/19	–	–	7,997	8,137	7,997	8,137
Roads	30/6/2020	30/06/20	–	–	249,889	244,645	249,889	244,645
Bridges	30/6/2020	30/06/20	–	–	32,700	33,200	32,700	33,200
Footpaths	30/6/2020	30/06/20	–	–	7,305	6,222	7,305	6,222
Kerb & Gutter	30/6/2020	30/06/20	–	–	8,347	8,153	8,347	8,153
Bulk Earthworks	30/6/2020	30/06/20	–	–	129,481	129,481	129,481	129,481
Stormwater Drainage	30/6/2020	30/06/20	–	–	11,789	12,013	11,789	12,013
Water Supply Network	30/6/2017	30/06/17	–	–	43,121	42,356	43,121	42,356
Sewer Network	30/6/2017	30/06/17	–	–	44,281	45,051	44,281	45,051
Swimming Pools	30/6/2019	30/06/19	–	–	9,232	8,099	9,232	8,099
Other Open Space & Recreational Assets	30/6/2019	30/06/19	–	–	9,976	8,500	9,976	8,500
Library Books	30/6/2018	30/06/18	–	–	198	203	198	203
Reinstatements	30/06/2019	30/06/19	–	–	303	314	303	314
Total infrastructure, property, plant and equipment			7,450	7,450	642,508	635,339	649,958	642,789

Non-recurring fair value measurements

Transfers between level 1 and level 2 fair value hierarchies

During the year, there were no transfers between level 1 and level 2 fair value hierarchies for recurring fair value measurements.

E2-1 Fair value measurement (continued)

Valuation techniques

Where Council is unable to derive fair valuations using quoted market prices of identical assets (ie. level 1 inputs) Council instead utilises a spread of both observable inputs (level 2 inputs) and unobservable inputs (level 3 inputs).

The fair valuation techniques Council has employed while utilising level 2 and level 3 inputs are as follows:

Infrastructure, property, plant and equipment (IPPE)

Plant and equipment

Council's Plant and Equipment incorporates

- Major plants- graders, loaders, rollers, trucks, tractors
- Fleet Vehicles- Cars, Utes etc.
- Minor Plant – Pumps, Chainsaws, brush cutters, mowers, concrete mixers, movie projectors

Council fair values plant and equipment using level 3 inputs. The observable Level 3 inputs used

- Quoted price for similar assets
- Purchase price
- Useful life of asset
- Current replacement Cost

The 'Cost Approach' is used to value Plant & Equipment

Furniture and fittings

Council's Furniture & Fittings incorporates

- Furniture and fittings- Desks, Chairs, Display Systems

Council fair values furniture fittings using level 3 inputs. The observable level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

The 'Cost Approach' is used to value Furniture & Fittings

Property, office equipment

Council's Office Equipment incorporates:

- Office Equipment: copiers, telephone system, projectors, fridges etc.

Council fair values office equipment using level 3 inputs. The observable Level 3 inputs used include:

- Quoted prices for similar assets
- Current replacement cost
- Purchase prices
- Useful life on asset

Infrastructure – Roads/Bulk Earthworks

The road carriageway is defined as the trafficable portion of a road, between but not including the kerb and gutter and would include any paved makers parking places alongside roadside.

Council's Road Asset Data contains detailed dimensions and specification for all Council roads.

Council fair values, road infrastructure using Level 3 inputs at a component level.

The 'Cost Approach' is used to value roads by componentising the assets into significant parts and then rolling up these component values to provide an overall road valuation (for each road segment) within Council's Asset System.

Level of componentisation adopted by Council is in accordance with AASB 116, OLG Circular 09-09 and the Institute of Public Works Engineers International Infrastructure Management Manual (IIMM).

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Useful life and residual value

E2-1 Fair value measurement (continued)

- Asset Condition
- Dimensions and Specification
- Remaining Life of Carriageway
- Unit Rates

Infrastructure - Bridges

A bridge is defined as all structures that convey a road, a footpath or a cycleway across any other physical feature (including waterways and other roads) but do not include culverts.

Council Road Asset Data contains detailed dimensions and specification for all Council's bridges.

Council fair values, bridges (non- componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of bridges takes into consideration the various type of structures such as:

- Bridge Deck & Superstructure
- Bridge Abutments & Foundations
- Bridge rails and hand rails

There were no changes in valuation technique from prior year.

The 'Cost Approach' is used to value bridges.

Infrastructure - Footpaths

A footpath is defined as all footways (including those shared with a cycleway) sealed or non-sealed.

Council Road Asset Data contains detailed dimensions and specifications for all Council footpaths.

Council fair values, footpaths (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In additions, the value of footpaths takes into consideration the various type of structure such as:

- Length
- Construction Materials

The 'Cost Approach' is used to value footpaths.

Infrastructure - Drainage

Council's Drainage Assets comprises pits, pipes, culverts, open channels, headwalls used to collect and remove stormwater.

Council carries fair values for drainages assets (non-componentised) using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Components
- Residual value
- Asset Condition
- Dimensions and Specification
- Unit Rates

In addition, the value of drainage assets takes into consideration the various type if structure such as:

E2-1 Fair value measurement (continued)

- Pipe Diameter
- Pit Type
- Water Quality Device Type
- Culverts and Headwall Constructions Type

The 'Cost Approach' is used to value drainage assets.

Property: - Operational Land

Council's "Operational" land by definition has no special restriction other than those that may apply to any piece of land.

Council carries fair values operational land by an External Valuer every 5 years (last valuation being 2013) using Level 2 inputs.

The unobservable Level 2 inputs used include:

- Land Area
- Rate per square Metre
- Planning and Other Restrictions
- Description of Land

The 'Market Approach' is used to value the Operational Land.

Property: - Community Land

Council's "Community" land (including owned by Council, the Crown and various other Government Agencies that is managed by Council) by definition is land intended for public access and use or where other restrictions applying to the land create some obligation to maintain public access (such as a trust deed, dedication under section 94 of the Environment Planning and Assessment Act 1979). This gives rise to the restrictions in the Act, intended to preserve the qualities of the land.

Community Land:

- Cannot be sold
- Cannot be leased, licensed, or any other estate granted over the land for more than 21 years and
- Must have a plan of management for it

In relation to Community Land the Division of Local Government has reviewed its positions on the use of the Valuer General's Valuations of community land and in association with the Local Government Accounting Advisory Group, the Division has determined that community land may be valued as follows.

- The NSW Valuer General's valuations may be used under revaluation model to represent fair value for the revaluation of community land under clause 31 of AASB 116.

Council fair values community land using unobservable Level 3 inputs based on inputs on either the UCV (Unimproved Capital Value) provided by the Valuer General or an average unit rate based on the UCV and allocated by Council against those properties where the Valuer General did not provide a UCV.

The 'Cost Approach' is used to value Community land.

Land improvements

Council's Land improvements incorporates

- Sprinkler & Watering Systems
- Cemetery Irrigation

Council carries fair values of land reserves using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Pattern of consumption
- Asset Condition
- Dimensions and Specification

The cost approach is used to value the land improvements

Buildings (specialised and non-specialised) Property:

Council Buildings incorporates Council administration buildings, Libraries, Public Amenities, Sporting Club Houses, Kiosks and Amenities, Depot Buildings and workshops, Halls & Community Centres and Rural Fire Service Buildings.

E2-1 Fair value measurement (continued)

Council carries fair values building using Level 3 inputs. Valuations are generally carried out by an external Valuer using the cost approach. This approach estimates the replacement cost for each building by componentising the building (for complex structures) into significant parts with different useful life and taking in to account a range of factors. Buildings are physically inspected and although rates based on square meters could be supported from the market evidence, extensive professional judgement, and condition and consumption rates etc. impact significantly on the final value determination of fair value. As such these assets are classified as having being valued using Level 3 inputs.

The unobservable Level 3 inputs used include:

- Consumption rate
- Future Economic Benefits
- Condition
- Useful Life of an asset

The 'Cost Approach' is used to value specialised buildings

Other structures, swimming pools, open space and recreation:

Council's other structures incorporates the following types of assets:

- Significant single assets such as swimming pools, playgrounds, floodlighting system, tennis courts, tennis shelters, grandstands etc. and
- Aggregated lower value assets such as recreational / park infrastructures (picnic tables, seats, bollards, fences BBQs etc.)

Council carries fair value of other structures assets (non-componentised) using Level 3 inputs. Such valuations are undertaken by Council Staff or by an external valuer depending on the structure.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates

The "Cost Approach" is used to value other structures

Water supply network

Council's Water Supply Network incorporates:

- Water Lines
- Water Meters
- Pumping Stations
- Reservoirs

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are under taken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

The "Cost Approach" is used to value other structures

Sewerage network

Council's Sewerage Network incorporates:

- Sewer Lines
- Pump Stations
- Sewer Treatment Plant

Council carries fair value of water supply assets using Level 3 inputs. Such valuations are undertaken by Council Staff using the NSW Water and Sewerage Reference Rates Manual.

The unobservable Level 3 inputs used include:

E2-1 Fair value measurement (continued)

- Pattern of Consumption
- Residual Value
- Asset Condition
- Components
- Dimensions and specifications
- Unit Rates.

Fair value measurements using significant unobservable inputs (level 3)

Significant unobservable valuation inputs used (for level 3 asset classes) and their relationship to fair value.

The following table summarises the quantitative information relating to the significant unobservable inputs used in deriving the various level 3 asset class fair values.

\$ '000	Fair value (30/6/21) 2021	Valuation technique/s	Unobservable inputs
Infrastructure, property, plant and equipment			
Plant and equipment	12,511	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Office equipment	706	Cost used to approximate fair value	Gross Replacement cost, useful life, residual value
Community land	7,597	Land values obtained from NSW Valuer General	Land Value, Land area
Land improvements	1,161	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Building specialised	11,111	Cost used to approximate fair value	Cost per sq metre, consumption rate. Condition, useful life
Other structures	7,997	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Roads	258,236	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bridges	32,700	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Footpaths	7,305	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Bulk earthworks	129,481	Cost used to approximate fair value	Cost per sq Metre
Stormwater drainage	11,789	Cost used to approximate fair value	Asset Condition, remaining life, residual value
Water supply network	43,121	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Sewerage network	44,281	Cost used to approximate fair value, NSW Reference Rates Manual	Unit rates, pattern of consumption, components, useful life, residual value, asset condition
Swimming pool	9,232	Cost used to approximate fair value	Cost per unit

E2-1 Fair value measurement (continued)

A reconciliation of the movements in recurring fair value measurements allocated to Level 3 of the hierarchy is provided below:

\$ '000	IPP & E	
	2021	2020 Restated
Opening balance	635,339	559,886
Purchases (GBV)	24,134	33,250
Disposals (WDV)	(994)	(327)
Depreciation and impairment	(16,776)	(17,802)
Fair value changes	9,161	60,332
Closing balance	650,864	635,339

Highest and best use

All of Council's non-financial assets are considered as being utilised for their highest and best use.

E3-1 Contingencies

The following assets and liabilities do not qualify for recognition in the Statement of Financial Position, but their knowledge and disclosure is considered relevant to the users of Council's financial report.

LIABILITIES NOT RECOGNISED

1. Guarantees

(i) Defined benefit superannuation contribution plans

Council is party to an Industry Defined Benefit Plan under the Local Government Superannuation Scheme, named The Local Government Superannuation Scheme – Pool B (the Scheme) which is a defined benefit plan that has been deemed to be a 'multi-employer fund' for purposes of AASB119 Employee Benefits for the following reasons:

- Assets are not segregated within the sub-group according to the employees of each sponsoring employer.
- The contribution rates have been the same for all sponsoring employers. That is, contribution rates have not varied for each sponsoring employer according to the experience relating to the employees of that sponsoring employer.
- Benefits for employees of all sponsoring employers are determined according to the same formulae and without regard to the sponsoring employer.
- The same actuarial assumptions are currently used in respect of the employees of each sponsoring employer.

Given the factors above, each sponsoring employer is exposed to the actuarial risks associated with current and former employees of other sponsoring employers, and hence shares in the associated gains and losses (to the extent that they are not borne by members).

Description of the funding arrangements.

Pooled Employers are required to pay future service employer contributions and past service employer contributions to the Fund.

The future service employer contributions were determined using the new entrant rate method under which a contribution rate sufficient to fund the total benefits over the working life-time of a typical new entrant is calculated. The current future service employer contribution rates are::

Division B	1.9 times member contributions for non-180 Point Members; Nil for 180 Point Members*
Division C	2.5% salaries
Division D	1.64 times member contributions

* For 180 Point Members, Employers are required to contribute 7% of salaries for the year ending 30 June 2021 (increasing to 7.5% in line with the increase in the Superannuation Guarantee) to these members' accumulation accounts, which are paid in addition to members' defined benefits.

The past service contribution for each Pooled Employer is a share of the total past service contributions of \$40.0 million for 1 July 2019 to 30 June 2021, apportioned according to each employer's share of the accrued liabilities as at 30 June 2019. These past service contributions are used to maintain the adequacy of the funding position for the accrued liabilities.

The adequacy of contributions is assessed at each triennial actuarial investigation and monitored annually between triennials.

Description of the extent to which Council can be liable to the plan for other Council's obligations under the terms and conditions of the multi-employer plan

As stated above, each sponsoring employer (Council) is exposed to the actuarial risks associated with current and former employees of other sponsoring employers and hence shares in the associated gains and losses.

However, there is no relief under the Fund's trust deed for employers to walk away from their defined benefit obligations. Under limited circumstances, an employer may withdraw from the plan when there are no active members, on full payment of outstanding additional contributions. There is no provision for allocation of any surplus which may be present at the date of withdrawal of the Council.

There are no specific provisions under the Fund's trust deed dealing with deficits or surplus on wind-up.

There is no provision for allocation of any surplus which may be present at the date of withdrawal of an employer.

E3-1 Contingencies (continued)

The amount of Council employer contributions to the defined benefit section of the Local Government Superannuation Scheme and recognised as an expense for the year ending 30 June 2021 was \$254,115.75. The last valuation of the Scheme was performed by fund actuary, Richard Boyfield, FIAA as at 30 June 2020.

The amount of additional contributions included in the total employer contribution advised above is \$164,466.48. Council's expected contribution to the plan for the next annual reporting period is \$267,979.08.

The estimated employer reserves financial position for the Pooled Employers at 30 June 2021 is:

Employer reserves only *	\$millions	Asset Coverage
Assets	2,620.5	
Past Service Liabilities	2,445.6	107.2%
Vested Benefits	2,468.7	106.2%

* excluding member accounts and reserves in both assets and liabilities.

The share of any funding surplus or deficit that can be attributed to Council is 0.42%

Council's share of that deficiency cannot be accurately calculated as the Scheme is a mutual arrangement where assets and liabilities are pooled together for all member councils. For this reason, no liability for the deficiency has been recognised in Council's accounts. Council has a possible obligation that may arise should the Scheme require immediate payment to correct the deficiency.

The key economic long term assumptions used to calculate the present value of accrued benefits are:

Investment return	5.75% per annum
Salary inflation *	3.5% per annum
Increase in CPI	2.5% per annum

* Plus promotional increases

The contribution requirements may vary from the current rates if the overall sub-group experience is not in line with the actuarial assumptions in determining the funding program; however, any adjustment to the funding program would be the same for all sponsoring employers in the Pooled Employers group.

Please note that the estimated employer reserves financial position above is a preliminary calculation, and once all the relevant information has been received by the Funds Actuary, the final end of year review, which will be a triennial actuarial investigation will be completed by December 2021

(ii) Statewide Limited

Council is a member of Statewide Mutual, a mutual pool scheme providing liability insurance to local government.

Membership includes the potential to share in either the net assets or liabilities of the fund depending on its past performance. Council's share of the net assets or liabilities reflects Council's contributions to the pool and the result of insurance claims within each of the fund years.

The future realisation and finalisation of claims incurred but not reported to 30/6 this year may result in future liabilities or benefits as a result of past events that Council will be required to fund or share in respectively.

(iii) StateCover Limited

Council is a member of StateCover Mutual Limited and holds a partly paid share in the entity.

StateCover is a company providing workers compensation insurance cover to the NSW local government industry and specifically Council.

Council has a contingent liability to contribute further equity in the event of the erosion of the company's capital base as a result of the company's past performance and/or claims experience or as a result of any increased prudential requirements from APRA.

These future equity contributions would be required to maintain the company's minimum level of net assets in accordance with its licence requirements.

E3-1 Contingencies (continued)

(iv) Other guarantees

Council has provided no other guarantees other than those listed above.

2. Other liabilities

(i) Third party claims

The Council is involved from time to time in various claims incidental to the ordinary course of business including claims for damages relating to its services.

Council believes that it is appropriately covered for all claims through its insurance coverage and does not expect any material liabilities to eventuate.

(ii) Potential land acquisitions due to planning restrictions imposed by Council

Council has classified a number of privately owned land parcels as local open space or bushland.

As a result, where notified in writing by the various owners, Council will be required to purchase these land parcels.

At reporting date, reliable estimates as to the value of any potential liability (and subsequent land asset) from such potential acquisitions has not been possible.

ASSETS NOT RECOGNISED

(i) Land under roads

As permitted under AASB 1051, Council has elected not to bring to account land under roads that it owned or controlled up to and including 30/6/08.

(ii) Infringement notices/fines

Fines and penalty income, the result of Council issuing infringement notices is followed up and collected by the Infringement Processing Bureau.

Council's revenue recognition policy for such income is to account for it as revenue on receipt.

Accordingly, at year end, there is a potential asset due to Council representing issued but unpaid infringement notices.

Due to the limited information available on the status, value and duration of outstanding notices, Council is unable to determine the value of outstanding income.

F People and relationships

F1 Related party disclosures

F1-1 Key management personnel (KMP)

Key management personnel (KMP) of the council are those persons having the authority and responsibility for planning, directing and controlling the activities of the council, directly or indirectly.

The aggregate amount of KMP compensation included in the Income Statement is:

\$ '000	2021	2020
Compensation:		
Short-term benefits	1,001	1,180
Post-employment benefits	84	62
Termination benefits	358	–
Total	1,443	1,242

F1-2 Councillor and Mayoral fees and associated expenses

\$ '000	2021	2020
The aggregate amount of Councillor and Mayoral fees and associated expenses included in materials and services expenses in the Income Statement are:		
Mayoral fee	28	27
Councillors' fees	127	127
Other Councillors' expenses (including Mayor)	12	32
Total	167	186

F2 Other relationships

F2-1 Audit fees

\$ '000	2021	2020
During the year, the following fees were incurred for services provided by the auditor of Council, related practices and non-related audit firms		
Auditors of the Council - NSW Auditor-General:		
(i) Audit and other assurance services		
Audit and review of financial statements	191	165
Remuneration for audit and other assurance services	191	165
Total Auditor-General remuneration	191	165

F2-1 Audit fees (continued)

\$ '000	2021	2020
Non NSW Auditor-General audit firms		
(i) Audit and other assurance services		
Internal audit	–	28
Remuneration for audit and other assurance services	–	28
Total remuneration of non NSW Auditor-General audit firms	–	28
Total audit fees	191	193

G Other matters

G1-1 Statement of Cash Flows information

Reconciliation of net operating result to cash provided from operating activities

\$ '000	2021	2020
Net operating result from Income Statement	12,377	7,064
Adjust for non-cash items:		
Depreciation and amortisation	16,908	17,920
Net losses/(gains) on disposal of assets	842	(99)
Adoption of AASB 15/1058	–	(13,763)
Unwinding of discount rates on reinstatement provisions	2,387	–
+/- Movement in operating assets and liabilities and other cash items:		
Decrease/(increase) in receivables	884	7,979
Increase/(decrease) in provision for doubtful debts	(5)	–
Decrease/(increase) in inventories	(52)	(31)
Decrease/(increase) in other assets	26	–
Decrease/(increase) in contract assets	(2,500)	(3,378)
Increase/(decrease) in payables	(716)	764
Increase/(decrease) in accrued interest payable	36	(57)
Increase/(decrease) in other accrued expenses payable	(179)	(1,366)
Increase/(decrease) in other liabilities	(233)	(497)
Increase/(decrease) in contract liabilities	1,013	6,997
Increase/(decrease) in employee leave entitlements	436	(90)
Increase/(decrease) in other provisions	–	240
Net cash provided from/(used in) operating activities from the Statement of Cash Flows	31,224	21,683

G2-1 Commitments

Capital commitments (exclusive of GST)

\$ '000	2021	2020
---------	------	------

Capital expenditure committed for at the reporting date but not recognised in the financial statements as liabilities:

Property, plant and equipment

Buildings	117	1,052
Plant and equipment	442	–
Bridges	10,449	160
Other	247	356
Total commitments	11,255	1,568

These expenditures are payable as follows:

Within the next year	11,176	1,568
Later than one year and not later than 5 years	79	–
Total payable	11,255	1,568

Sources for funding of capital commitments:

Unrestricted general funds	689	356
Future grants and contributions	10,566	160
Internally restricted reserves	–	1,052
Total sources of funding	11,255	1,568

G3 Changes from prior year statements

G3-1 Correction of errors

Nature of prior-period error

A. Revaluation

Council undertook a revaluation of road assets in 2020. A formula error was identified where additions were effectively counted twice which resulted in an understatement of \$8.356M in the balances for Infrastructure, property, plant and equipment and revaluation reserves at 30 June 2020.

B. Investments

The Investments and Accounts Payable balances as at 30 June 2020 were overstated by \$236K. This is an accumulative error from prior years.

Comparatives have been changed to reflect the correction of errors. The impact on each line item is shown in the tables below.

Adjustments to the comparative figures for the year ended 30 June 2020

Statement of Financial Position

\$ '000	Original Balance 30 June, 2020	Impact Increase/ (decrease)	Restated Balance 30 June, 2020
Current Assets			
Investments	14,199	(236)	13,963
Non Current assets			
Infrastructure Property Plant and Equipment	639,229	8,356	647,585
Total assets	691,068	8,120	699,188
Current Liabilities			
Payables	6,277	(236)	6,041

G3-1 Correction of errors (continued)

\$ '000	Original Balance 30 June, 2020	Impact Increase/ (decrease)	Restated Balance 30 June, 2020
Total liabilities	48,385	(236)	48,149
Net Assets	642,683	8,356	651,039
Council Equity Interest	642,683	8,356	651,039
Accumulated Surplus	565,717	—	565,717
Revaluation Reserves	76,181	8,356	84,537
Other Reserves	785	—	785
Total equity	642,683	8,356	651,039

G4 Statement of developer contributions as at 30 June 2021

G4-1 Summary of developer contributions

\$ '000	Opening balance at 1 July 2020	Contributions received during the year		Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2021	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash					
Roads	1,097	335	–	5	(132)	–	1,305	–
S7.11 contributions – under a plan	1,097	335	–	5	(132)	–	1,305	–
S7.12 levies – under a plan	811	387	–	6	–	–	1,204	–
Total S7.11 and S7.12 revenue under plans	1,908	722	–	11	(132)	–	2,509	–
S7.11 not under plans	99	19	–	–	–	–	118	–
S64 contributions	1,000	92	–	–	–	–	1,092	–
Total contributions	3,007	833	–	11	(132)	–	3,719	–

Under the Environmental Planning and Assessment Act 1979, Council has significant obligations to provide Section 7.11 (contributions towards provision or improvement of amenities or services) infrastructure in new release areas. It is possible that the funds contributed may be less than the cost of this infrastructure, requiring Council to borrow or use general revenue to fund the difference.

G4-2 Developer contributions by plan

	Opening balance at 1 July 2020	Contributions received during the year		Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2021	Cumulative balance of internal borrowings (to)/from
\$ '000		Cash	Non-cash					
CONTRIBUTION PLAN (former Harden)								
Roads	1,097	335	–	5	(132)	–	1,305	–
Total	1,097	335	–	5	(132)	–	1,305	–

S7.12 Levies – under a plan

CONTRIBUTION PLAN (former Boorowa)

Roads	189	–	–	1	–	–	190	–
Community facilities	103	111	–	1	–	–	215	–
Total	292	111	–	2	–	–	405	–

CONTRIBUTION PLAN (former Harden)

Other	100	34	–	1	–	–	135	–
Total	100	34	–	1	–	–	135	–

G4-2 Developer contributions by plan (continued)

\$ '000	Opening balance at 1 July 2020	Contributions received during the year		Interest and investment income earned	Amounts expended	Internal borrowings	Held as restricted asset at 30 June 2021	Cumulative balance of internal borrowings (to)/from
		Cash	Non-cash					
CONTRIBUTION PLAN NUMBER Former Young								
Community facilities	419	242	–	3	–	–	664	–
Total	419	242	–	3	–	–	664	–

G4-3 Contributions not under plans

(former Young)

Drainage	31	–	–	–	–	–	31	–
Parking	68	19	–	–	–	–	87	–
Total	99	19	–	–	–	–	118	–

G5 Statement of performance measures

G5-1 Statement of performance measures – consolidated results

\$ '000	Amounts 2021	Indicator 2021	2020	Indicators 2019	2018	Benchmark
1. Operating performance ratio						
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1,2}	(4,716)	(9.12)%	(21.40)%	(12.31)%	(8.75)%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹	51,685					
2. Own source operating revenue ratio						
Total continuing operating revenue excluding all grants and contributions ¹	34,430	49.43%	50.13%	55.05%	62.00%	> 60.00%
Total continuing operating revenue	69,661					
3. Unrestricted current ratio						
Current assets less all external restrictions	16,726	1.10x	1.14x	3.86x	3.44x	> 1.50x
Current liabilities less specific purpose liabilities	15,224					
4. Debt service cover ratio						
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	12,912	4.69x	3.55x	4.12x	1.78x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)	2,755					
5. Rates and annual charges outstanding percentage						
Rates and annual charges outstanding	3,848	14.04%	13.13%	9.93%	8.31%	< 10.00%
Rates and annual charges collectable	27,406					
6. Cash expense cover ratio						
Current year's cash and cash equivalents plus all term deposits	36,820	10.09 mths	9.58 mths	8.52 mths	12.87 mths	> 3.00 mths
Monthly payments from cash flow of operating and financing activities	3,651					

(1) Excludes fair value increments on investment properties, reversal of revaluation decrements, reversal of impairment losses on receivables, net gain on sale of assets and net share of interests in joint ventures and associates using the equity method and includes pensioner rate subsidies

(2) Excludes impairment/revaluation decrements of IPPE, fair value decrements on investment properties, net loss on disposal of assets and net loss on share of interests in joint ventures and associates using the equity method

G5-2 Statement of performance measures by fund

\$ '000	General Indicators ³		Water Indicators		Sewer Indicators		Benchmark
	2021	2020	2021	2020	2021	2020	
1. Operating performance ratio							
Total continuing operating revenue excluding capital grants and contributions less operating expenses ^{1, 2}	(18.14)%	(34.26)%	15.10%	11.82%	25.13%	23.63%	> 0.00%
Total continuing operating revenue excluding capital grants and contributions ¹							
2. Own source operating revenue ratio							
Total continuing operating revenue excluding capital grants and contributions ¹	38.47%	38.54%	97.03%	98.96%	98.91%	99.54%	> 60.00%
Total continuing operating revenue ¹							
3. Unrestricted current ratio							
Current assets less all external restrictions	1.10x	1.14x	18.75x	24.53x	8.42x	7.10x	> 1.50x
Current liabilities less specific purpose liabilities							
4. Debt service cover ratio							
Operating result before capital excluding interest and depreciation/impairment/amortisation ¹	6.26x	2.13x	5.96x	∞	2.55x	3.92x	> 2.00x
Principal repayments (Statement of Cash Flows) plus borrowing costs (Income Statement)							
5. Rates and annual charges outstanding percentage							
Rates and annual charges outstanding	13.63%	10.88%	15.85%	24.80%	14.23%	13.24%	< 10.00%
Rates and annual charges collectable							
6. Cash expense cover ratio							
Current year's cash and cash equivalents plus all term deposits	7.59 mths	7.01 mths	17.32 mths	42.11 mths	25.33 mths	15.43 mths	> 3.00 mths
Monthly payments from cash flow of operating and financing activities							

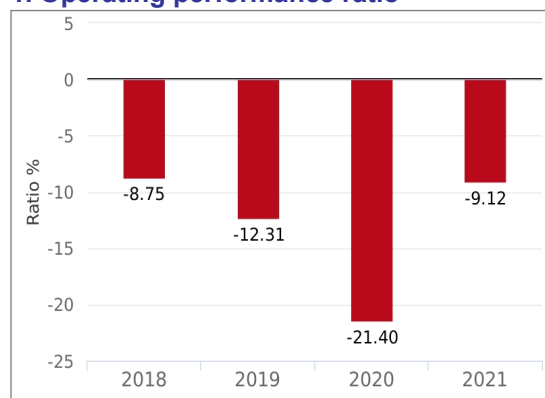
(1) - (2) Refer to Notes at Note G6-1 above.

(3) General fund refers to all of Council's activities except for its water and sewer activities which are listed separately.

H Additional Council disclosures (unaudited)

H1-1 Statement of performance measures – consolidated results (graphs)

1. Operating performance ratio



Purpose of operating performance ratio

This ratio measures Council's achievement of containing operating expenditure within operating revenue.

Commentary on 2020/21 result

2020/21 ratio (9.12)%

Council continues to be under the benchmark, however there was an improvement in 2020/21.

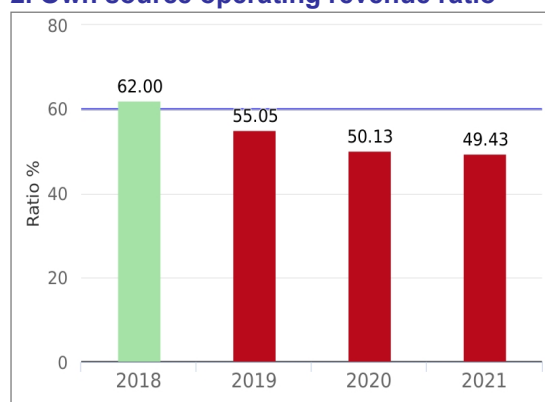
Benchmark: — > 0.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

2. Own source operating revenue ratio



Purpose of own source operating revenue ratio

This ratio measures fiscal flexibility. It is the degree of reliance on external funding sources such as operating grants and contributions.

Commentary on 2020/21 result

2020/21 ratio 49.43%

Council is very close to benchmark this year, similar to the result last year Council has again received significant operating grant income which has artificially lowered the ratio in 2020/21.

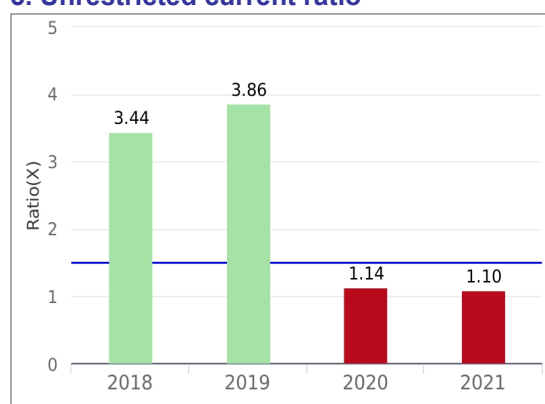
Benchmark: — > 60.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

3. Unrestricted current ratio



Purpose of unrestricted current ratio

To assess the adequacy of working capital and its ability to satisfy obligations in the short term for the unrestricted activities of Council.

Commentary on 2020/21 result

2020/21 ratio 1.10x

Council has just slipped below the industry benchmark of 1.5 in 2020/21 but still has sufficient working capital to meet all financial obligations as they fall due.

Benchmark: — > 1.50x

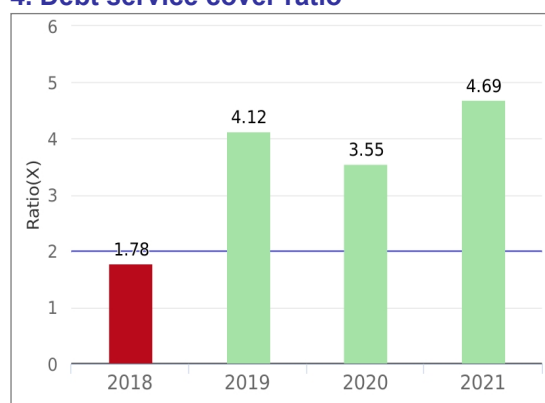
Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio achieves benchmark

Ratio is outside benchmark

H1-1 Statement of performance measures – consolidated results (graphs) (continued)

4. Debt service cover ratio



Benchmark: — > 2.00x

Source of benchmark: Code of Accounting Practice and Financial Reporting

Purpose of debt service cover ratio

This ratio measures the availability of operating cash to service debt including interest, principal and lease payments

Commentary on 2020/21 result

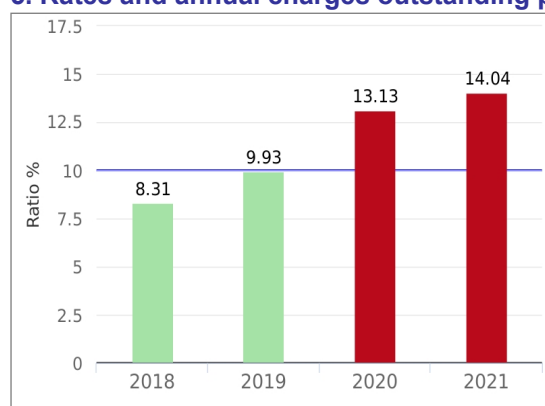
2020/21 ratio 4.69x

the 2018 financial period Council's Debt Service Cover Ratio was just below the industry Benchmark. In the recent financial periods the ratio has seen a significant turnaround to be comfortable above the industry benchmark.

Ratio achieves benchmark

Ratio is outside benchmark

5. Rates and annual charges outstanding percentage



Benchmark: — < 10.00%

Source of benchmark: Code of Accounting Practice and Financial Reporting

Purpose of rates and annual charges outstanding percentage

To assess the impact of uncollected rates and annual charges on Council's liquidity and the adequacy of recovery efforts.

Commentary on 2020/21 result

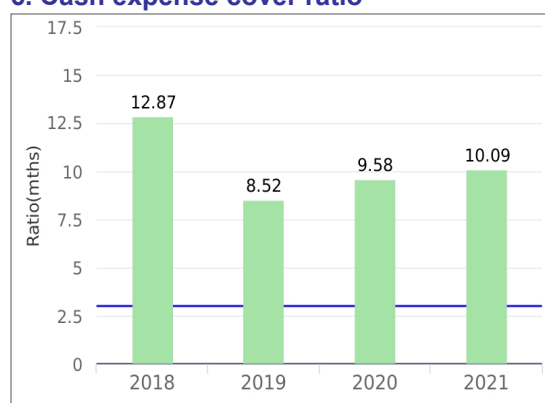
2020/21 ratio 14.04%

In the 2021 financial period uncollected rates and annual charges have increased. Council sits outside the benchmark standard for Rural Councils. The impact of Covid 19 has had a significant impact on the ability of rural ratepayers to pay rates and annual charges when they fall due.

Ratio achieves benchmark

Ratio is outside benchmark

6. Cash expense cover ratio



Benchmark: — > 3.00mths

Source of benchmark: Code of Accounting Practice and Financial Reporting

Purpose of cash expense cover ratio

This liquidity ratio indicates the number of months a Council can continue paying for its immediate expenses without additional cash inflow.

Commentary on 2020/21 result

2020/21 ratio 10.09 mths

The ratio indicates that Council is able to pay its immediate expenses for a period of 9.9 months before it would have to seek additional cash externally in order to meet immediate expenses. Council sits comfortable above the minimum industry benchmark of 3.0 months.

Ratio achieves benchmark

Ratio is outside benchmark



INDEPENDENT AUDITOR'S REPORT

Report on the general purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying financial statements of Hilltops Council (the Council), which comprise the Statement by Councillors and Management, the Income Statement and Statement of Comprehensive Income for the year ended 30 June 2021, the Statement of Financial Position as at 30 June 2021, the Statement of Changes in Equity and Statement of Cash Flows for the year then ended and notes comprising a summary of significant accounting policies and other explanatory information.

In my opinion:

- the Council's accounting records have been kept in accordance with the requirements of the *Local Government Act 1993*, Chapter 13, Part 3, Division 2 (the Division)
- the financial statements:
 - have been prepared, in all material respects, in accordance with the requirements of this Division
 - are consistent with the Council's accounting records
 - present fairly, in all material respects, the financial position of the Council as at 30 June 2021, and of its financial performance and its cash flows for the year then ended in accordance with Australian Accounting Standards
- all information relevant to the conduct of the audit has been obtained
- no material deficiencies in the accounting records or financial statements have come to light during the audit.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Other Information

The Council's annual report for the year ended 30 June 2021 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the special purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the special purpose financial statements and Special Schedule - Permissible income for general rates.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements in accordance with Australian Accounting Standards and the *Local Government Act 1993*, and for such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- on the Original Budget information included in the Income Statement, Statement of Cash Flows, and Note B5-1 Material budget variations
- on the Special Schedules. A separate opinion has been provided on Special Schedule - Permissible income for general rates
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Lisa Berwick', with a stylized flourish at the end.

Lisa Berwick
Director, Financial Audit Services

Delegate of the Auditor-General for New South Wales

16 December 2021
SYDNEY



Mr Anthony O'Reilly
General Manager
Hilltops Council
Locked Bag 5
YOUNG NSW 2594

Contact: Lisa Berwick
Phone no: 02 9275 7165
Our ref: D2127297/1740

16 December 2021

Dear Mr O'Reilly

**Report on the Conduct of the Audit
for the year ended 30 June 2021
Hilltops Council**

I have audited the general-purpose financial statements (GPFS) of the Hilltops Council (the Council) for the year ended 30 June 2021 as required by section 415 of the *Local Government Act 1993* (the Act). I expressed an unmodified opinion on the Council's GPFS.

This Report on the Conduct of the Audit (the Report) for the Council for the year ended 30 June 2021 is issued in accordance with section 417 of the Act. This Report should be read in conjunction with my audit opinion on the GPFS issued under section 417(2) of the Act.

SIGNIFICANT AUDIT ISSUES AND OBSERVATIONS

I identified the following significant audit issues and observations during my audit of the Council's financial statements. These issues and observations were addressed as part of my audit.

Rural fire-fighting equipment not recognised

Council did not record rural fire-fighting equipment in the financial statements.

Rural fire-fighting equipment, specifically the red fleet vehicles, is controlled by the Council and should be recognised in the financial statements. This is supported by the requirements of the Rural Fires Act 1997 and service agreements between Councils and the NSW Rural Fire Service (RFS)

The Department of Planning, Industry and Environment (inclusive of the Office of Local Government) confirmed in the 'Report on Local Government 2020' (tabled in Parliament on 27 May 2021) their view that rural firefighting equipment is not controlled by the RFS.

Not recording such assets could result in a material misstatement of the financial statements and a modified audit opinion.

Cash and Investment balances

Notwithstanding the fact that the audit opinion issued over the general-purpose financial statements for the current year is unmodified, I have noted significant control weaknesses in relation to Council's accounting for cash and investment balances.

As of 30 June 2021, adjustments were processed for the current and prior years' financial statements, to reduce Council's cash and investment balances by \$0.2 million.

In the prior year, unexplained differences resulting from carried forward previous years' errors were managed through the creation of a suspense (liability) account which was used to offset this difference in the cash and investments balances. In doing this, Council recognised an expense for \$0.2 million which although had the net impact of a \$0.2 million cash and investments balance write off, also artificially inflated the cash and investments and liability accounts by \$0.2 million.

This was rectified in 2020-21, whereby retrospective correction of the error reduced the prior year comparatives for investments and payables by \$0.2 million.

Council has been unable to identify the original source of the error.

Further, in examining the bank reconciliation for the current year, reconciling items were found which did not relate to the 2020-21 financial year, but rather to the 2021-22 financial year. These cut off errors resulted in further audit adjustments to ensure that the cash and investments balance was not materially misstated at 30 June 2021.

By its very nature, cash and investment balances have a higher inherent risk of fraud. Robust controls are therefore required to be implemented by Council to ensure that these balances and the underlying transactions that support these balances are appropriately managed and accounted for.

INCOME STATEMENT

Operating result

	2021 \$m	2020 \$m	Variance %
Rates and annual charges revenue	24.0	23.4	 2.6
Grants and contributions revenue	35.2	33.7	 4.5
Operating result from continuing operations	12.4	7.1	 74.6
Net operating result before capital grants and contributions	-5.6	-10.6	 47.2

Rates and annual charges revenue (\$24.0 million) increased by \$0.6 million (2.6 per cent) in 2020–21 due to the:

- IPART annual rate increase of 2.6 per cent
- increase in rateable properties by 0.8 per cent (11,245 rateable properties in 2020-2021 compared to 11,153 properties last year).

Grants and contributions revenue (\$35.2 million) increased by \$1.5 million (4.5 per cent) in 2020–21 mainly due to:

- \$1.4 million increase in special purpose grants and non-developer contributions
- \$0.1 million of developer contributions received during the year.

Council's operating result from continuing operations of \$12.4 million (2019-20: \$7.1 million), including depreciation and amortisation expense of \$16.9 million (2019-20: \$17.9 million), was \$5.3 million higher than the 2019-20 result. This is primarily due to the following factors:

Income from continuing operations increased by \$2.1 million due to:

- \$0.6 million increase in rates and annual charges
- \$1.5 million increase in grants and contributions revenue
- \$0.4 million increase in other revenues and income
- \$0.1 million decrease in net gains from disposal of assets
- \$0.1 million decrease in interest and investment income
- \$0.2 million decrease in user charges and fees.

Expenses from continuing operations decreased by \$3.2 million due to:

- \$1.2 million decrease in employee benefit and on-costs
- \$2.1 million decrease in materials and services
- \$1.0 million decrease in depreciation and amortisation
- \$0.8 million increase in loss from the disposal of assets
- \$0.3 million increase in other expenses.

The net operating result before capital grants and contributions (loss of \$5.6 million) was \$5.0 million higher than the 2019-20 result (loss of \$10.6 million).

STATEMENT OF CASH FLOWS

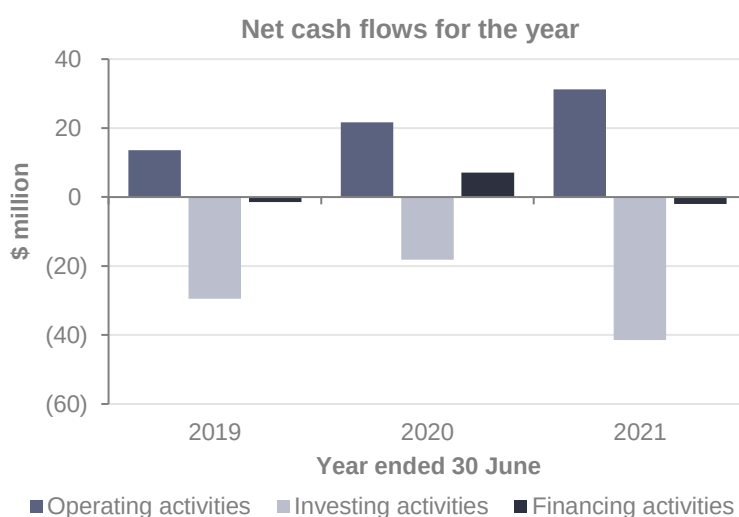
The Statement of Cash Flows illustrates the flow of cash and cash equivalents moving in and out of the Council during the year.

The Council's cash decreased by \$12.2 million at the close of this year.

Cash inflows from operating activities increased by \$9.5 million from \$21.7 million in 2019-20 to \$31.2 million in 2020-21. This is due to an increase in cash inflow from receipts of \$7.7 million combined with a decrease in cash outflow from expenses by \$1.8 million.

The increase in cash outflows from investing activities increased by \$23.3 million, from \$18.1 million in 2019-20 to \$41.4 million in 2020-21. This was mainly due to:

- an increase in purchases of term deposits by \$13.1 million
- a decrease in purchase of IPPE by \$2.9 million
- a decrease in sale of investment securities and



IPPE by \$13.1 million
compared to prior year.

Cash outflows from financing activities has increased by \$9.1 million from an inflow of \$7.1 million for 2019-2020 to an outflow of \$2.0 million for 2020-21. This is due to a decrease in proceeds from borrowings of \$8.6 million and increase in repayment of borrowings of \$0.5 million compared to prior year.

FINANCIAL POSITION

Cash and investments

Cash and investments	2021	2020	Commentary
	\$m	\$m	
Restricted cash and investments:			
External restrictions	32.1	29.5	External restrictions include unspent specific purpose grants, developer contributions, domestic waste management charges, levies and planning agreements. The externally restricted cash balance has increased by approximately \$2.6 million, mainly due to the higher developer contribution received.
Internal restrictions	7.5	9.1	
Unrestricted	(2.8)	(2.6)	
Total cash, cash equivalents and investments	36.8	36.0	- Balances are internally restricted due to Council policy or decisions for forward plans including works program. Internal restrictions have decreased by \$1.6 million. - Unrestricted balances provide liquidity for day-to-day operations. There is a negative unrestricted cash balance for 2019-2020 and 2020-2021.

PERFORMANCE

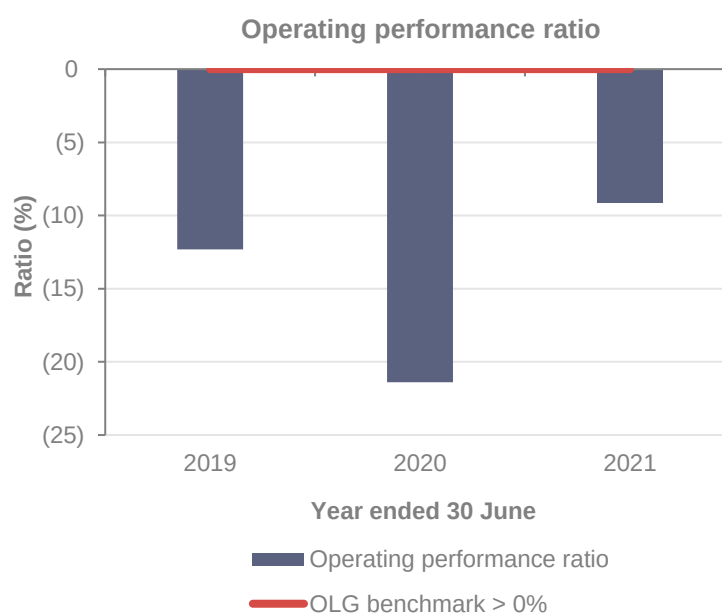
Performance measures

The following section provides an overview of the Council's performance against the performance measures and performance benchmarks set by the Office of Local Government (OLG) within the Department of Planning, Industry and Environment.

Operating performance ratio

The 'operating performance ratio' measures how well council contained operating expenditure within operating revenue (excluding capital grants and contributions, fair value adjustments, and reversal of revaluation decrements). The benchmark set by OLG is greater than zero per cent.

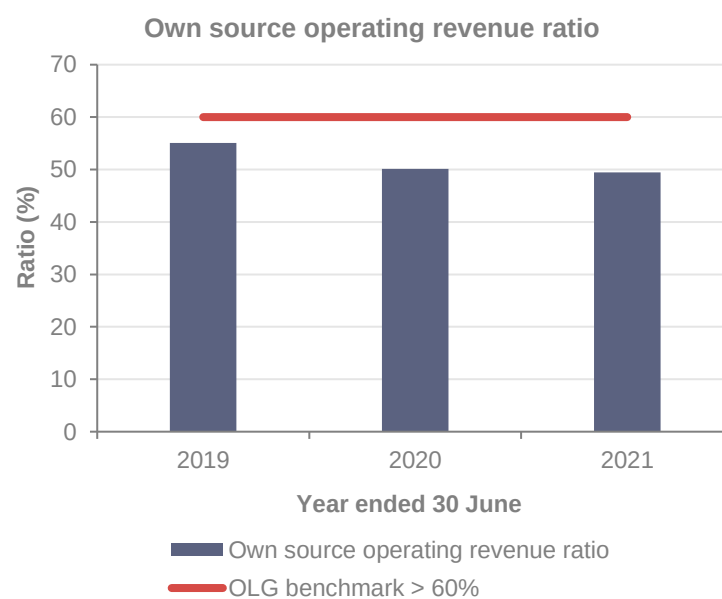
The Council did not meet the OLG benchmark for the current reporting period with a ratio of (9.12) per cent.



Own source operating revenue ratio

The 'own source operating revenue ratio' measures council's fiscal flexibility and the degree to which it relies on external funding sources such as operating grants and contributions. The benchmark set by OLG is greater than 60 per cent.

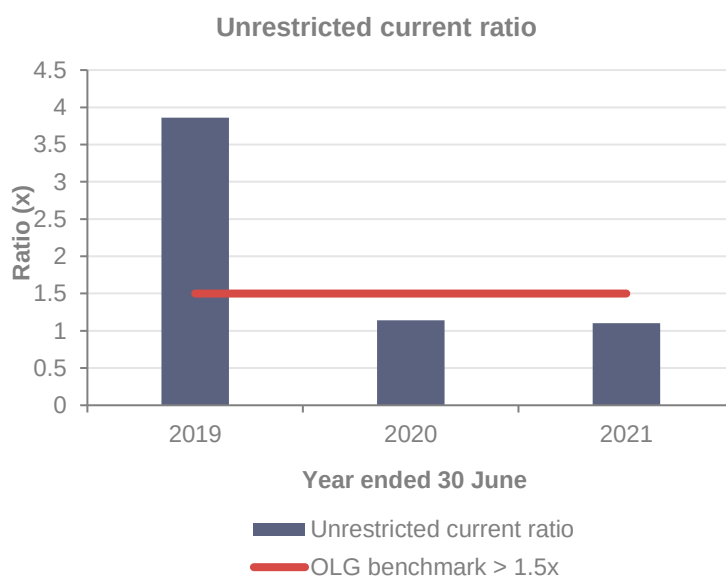
The Council did not meet the OLG benchmark for the current reporting period with a ratio of 49.43 per cent.



Unrestricted current ratio

The 'unrestricted current ratio' is specific to local government and represents council's ability to meet its short-term obligations as they fall due. The benchmark set by OLG is greater than 1.5 times.

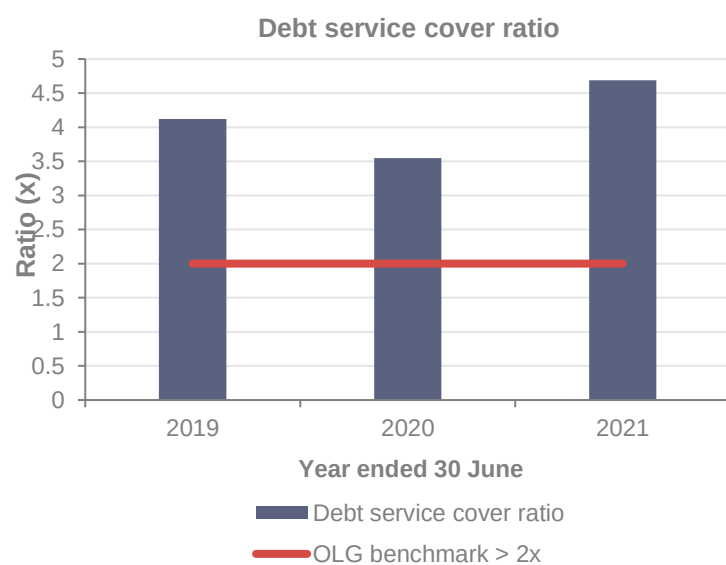
The Council did not meet the OLG benchmark for the current reporting period with a ratio 1.10 times.



Debt service cover ratio

The 'debt service cover ratio' measures the operating cash to service debt including interest, principal and lease payments. The benchmark set by OLG is greater than two times.

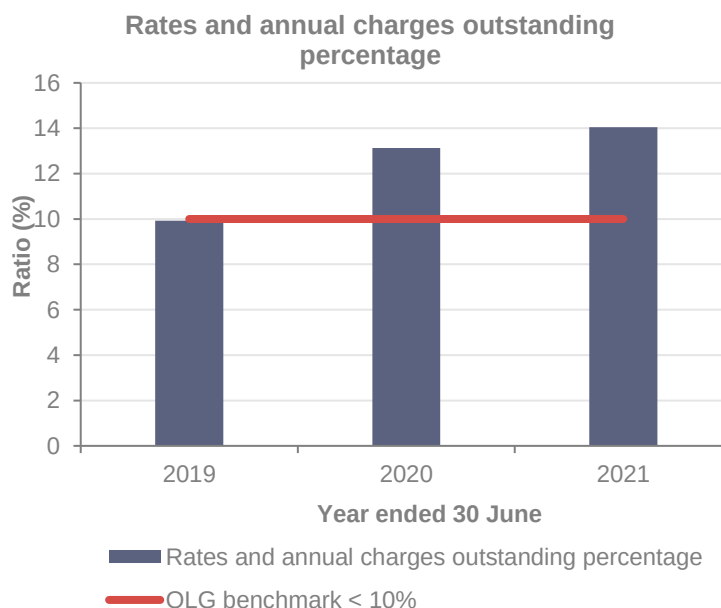
The Council met the OLG benchmark for the current reporting period with a ratio of 4.69 times.



Rates, annual charges, interest and extra charges outstanding percentage

The 'rates and annual charges outstanding percentage' assesses the impact of uncollected rates and annual charges on council's liquidity and the adequacy of debt recovery efforts. The benchmark set by OLG is less than 10 per cent for regional and rural councils.

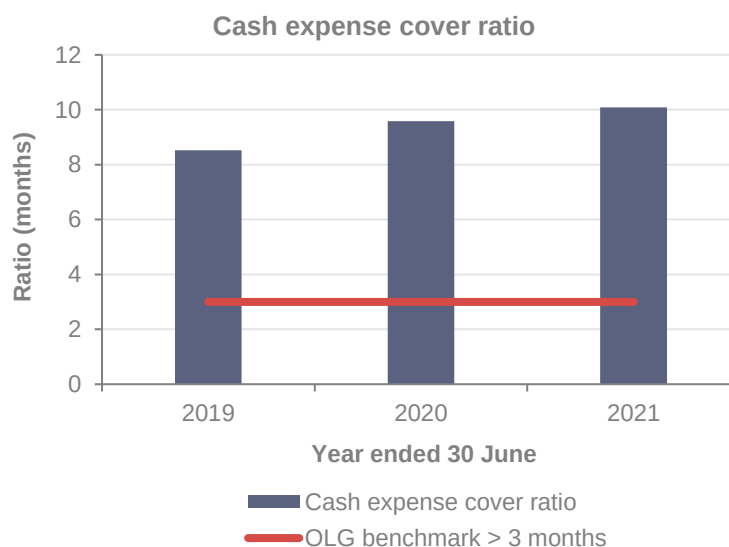
The Council did not meet the OLG benchmark for the current reporting period with a ratio of 14.04 per cent.



Cash expense cover ratio

This liquidity ratio indicates the number of months the council can continue paying for its immediate expenses without additional cash inflow. The benchmark set by OLG is greater than three months.

The Council exceeded the OLG benchmark for the current reporting period with a ratio of 10.09 months.



Infrastructure, property, plant and equipment renewals

Infrastructure, property, plant and equipment renewals for 2020-21 amounted to \$23.0 million, a significant increase of \$20.2 million from prior year balance of \$2.8 million. The largest increases were noted in road renewals (\$11.9 million) and restoration assets (\$2.3 million) along with increases across a range of Infrastructure assets.

OTHER MATTERS

Legislative compliance

My audit procedures did not identify any instances of non-compliance with legislative requirements or a material deficiency in the Council's accounting records or financial statements. The Council's:

- accounting records were maintained in a manner and form to allow the GPFS to be prepared and effectively audited
- staff provided all accounting records and information relevant to the audit.

The Council's:

- accounting records were maintained in a manner and form that facilitated the preparation and the effective audit of the GPFS
- staff provided all accounting records and information relevant to the audit.



Lisa Berwick
Director, Financial Audit

Delegate of the Auditor-General for New South Wales

Cc: Cr Brain Ingram, Mayor

Mr Andrew Fletcher, Chair of the Audit, Risk and Improvement Committee

Hilltops Council

SPECIAL PURPOSE FINANCIAL STATEMENTS
for the year ended 30 June 2021



Special Purpose Financial Statements

for the year ended 30 June 2021

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Background

- i. These Special Purpose Financial Statements have been prepared for the use by both Council and the Office of Local Government in fulfilling their requirements under National Competition Policy.
- ii. The principle of competitive neutrality is based on the concept of a 'level playing field' between persons/entities competing in a market place, particularly between private and public sector competitors.

Essentially, the principle is that government businesses, whether Commonwealth, state or local, should operate without net competitive advantages over other businesses as a result of their public ownership.

- iii. For Council, the principle of competitive neutrality and public reporting applies only to declared business activities.

These include **(a)** those activities classified by the Australian Bureau of Statistics as business activities being water supply, sewerage services, abattoirs, gas production and reticulation, and **(b)** those activities with a turnover of more than \$2 million that Council has formally declared as a business activity (defined as Category 1 activities).

- iv. In preparing these financial statements for Council's self-classified Category 1 businesses and ABS-defined activities, councils must **(a)** adopt a corporatisation model and **(b)** apply full cost attribution including tax-equivalent regime payments and debt guarantee fees (where the business benefits from Council's borrowing position by comparison with commercial rates).

Hilltops Council

Special Purpose Financial Statements

for the year ended 30 June 2021

Statement by Councillors and Management

Statement by Councillors and Management made pursuant to the Local Government Code of Accounting Practice and Financial Reporting

The attached Special Purpose Financial Statements have been prepared in accordance with:

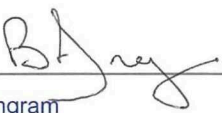
- the NSW Government Policy Statement '*Application of National Competition Policy to Local Government*',
- the Division of Local Government Guidelines '*Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*',
- the Local Government Code of Accounting Practice and Financial Reporting,
- the NSW Office of Water Best-Practice Management of Water and Sewerage Guidelines.

To the best of our knowledge and belief, these statements:

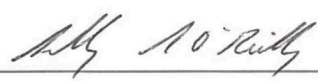
- present fairly the operating result and financial position for each of Council's declared business activities for the year, and
- accord with Council's accounting and other records.
- present overhead reallocation charges to the water and sewerage businesses as fair and reasonable.

We are not aware of any matter that would render these statements false or misleading in any way.

Signed in accordance with a resolution of Council made on 27 October 2021.



Clr Brian Ingram
Mayor
27 October 2021

Clr Tony Wallace
Councillor
27 October 2021

Anthony O'Reilly
General Manager
27 October 2021

Anthony O'Reilly
Responsible Accounting Officer
27 October 2021

Hilltops Council

Income Statement of water supply business activity

for the year ended 30 June 2021

\$ '000	2021	2020
Income from continuing operations		
Access charges	3,169	3,033
User charges	4,838	5,254
Fees	9	1
Interest	113	119
Grants and contributions provided for non-capital purposes	89	–
Profit from the sale of assets	–	28
Total income from continuing operations	8,218	8,435
Expenses from continuing operations		
Employee benefits and on-costs	883	897
Borrowing costs	54	–
Materials and services	2,367	2,138
Depreciation, amortisation and impairment	1,005	960
Water purchase charges	2,651	3,438
Other expenses	17	5
Total expenses from continuing operations	6,977	7,438
Surplus (deficit) from continuing operations before capital amounts	1,241	997
Grants and contributions provided for capital purposes	160	89
Surplus (deficit) from continuing operations after capital amounts	1,401	1,086
Surplus (deficit) from all operations before tax	1,401	1,086
Less: corporate taxation equivalent [based on result before capital]	(323)	(274)
Surplus (deficit) after tax	1,078	812
Plus opening retained profits	55,804	54,718
Less:		
– Corporate taxation equivalent	323	274
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	57,205	55,804
Return on capital %	3.0%	2.4%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	1,078	812
Less: capital grants and contributions (excluding developer contributions)	(160)	(89)
Surplus for dividend calculation purposes	918	723
Potential dividend calculated from surplus	459	362

Hilltops Council

Income Statement of sewerage business activity

for the year ended 30 June 2021

\$ '000	2021	2020
Income from continuing operations		
Access charges	4,374	4,255
User charges	27	24
Liquid trade waste charges	–	1
Fees	14	13
Interest	42	46
Profit from the sale of assets	–	20
Total income from continuing operations	4,457	4,359
Expenses from continuing operations		
Employee benefits and on-costs	595	720
Borrowing costs	408	302
Materials and services	967	909
Depreciation, amortisation and impairment	1,364	1,395
Other expenses	3	3
Total expenses from continuing operations	3,337	3,329
Surplus (deficit) from continuing operations before capital amounts	1,120	1,030
Grants and contributions provided for capital purposes	49	20
Surplus (deficit) from continuing operations after capital amounts	1,169	1,050
Surplus (deficit) from all operations before tax	1,169	1,050
Less: corporate taxation equivalent [based on result before capital]	(291)	(283)
Surplus (deficit) after tax	878	767
Plus opening retained profits	39,996	38,946
Less:		
– Corporate taxation equivalent	291	283
Plus adjustments for amounts unpaid:		
Closing accumulated surplus	41,165	39,996
Return on capital %	3.4%	2.9%
Subsidy from Council	–	–
Calculation of dividend payable:		
Surplus (deficit) after tax	878	767
Less: capital grants and contributions (excluding developer contributions)	(49)	(20)
Surplus for dividend calculation purposes	829	747
Potential dividend calculated from surplus	414	374

Hilltops Council

Income Statement – South West Regional Waste Management Group

for the year ended 30 June 2021

\$ '000	2021 Category 2	2020 Category 2
Income from continuing operations		
Interest	23	19
Grants and contributions provided for non-capital purposes	1,820	2,067
Total income from continuing operations	1,843	2,086
Expenses from continuing operations		
Employee benefits and on-costs	7	8
Materials and contracts	1,164	1,471
Depreciation, amortisation and impairment	76	138
Total expenses from continuing operations	1,247	1,617
Surplus (deficit) from continuing operations before capital amounts	596	469
Surplus (deficit) from continuing operations after capital amounts	596	469
Surplus (deficit) from all operations before tax	596	469
Less: corporate taxation equivalent [based on result before capital]	(155)	(2)
SURPLUS (DEFICIT) AFTER TAX	441	467
Plus opening retained profits	4,573	4,104
– Corporate taxation equivalent	155	2
Closing accumulated surplus	5,169	4,573
Return on capital %	108.0%	74.7%

Hilltops Council

Income Statement – South West Rural Fire Zone

for the year ended 30 June 2021

\$ '000	2021 Category 2	2020 Category 2
Income from continuing operations		
Interest	–	1
Total income from continuing operations	–	1
Expenses from continuing operations		
Materials and contracts	18	23
Total expenses from continuing operations	18	23
Surplus (deficit) from continuing operations before capital amounts	(18)	(22)
Surplus (deficit) from continuing operations after capital amounts	(18)	(22)
Surplus (deficit) from all operations before tax	(18)	(22)
SURPLUS (DEFICIT) AFTER TAX	(18)	(22)
Plus opening retained profits	94	116
Closing accumulated surplus	76	94
Subsidy from Council	18	22

Hilltops Council

Statement of Financial Position of water supply business activity

as at 30 June 2021

\$ '000	2021	2020
ASSETS		
Current assets		
Cash and cash equivalents	9,100	8,647
Investments	8,064	8,065
Receivables	2,805	2,595
Total current assets	19,969	19,307
Non-current assets		
Infrastructure, property, plant and equipment	43,477	42,408
Total non-current assets	43,477	42,408
Total assets	63,446	61,715
LIABILITIES		
Current liabilities		
Payables	495	227
Borrowings	337	332
Employee benefit provisions	233	228
Total current liabilities	1,065	787
Non-current liabilities		
Borrowings	2,890	3,227
Total non-current liabilities	2,890	3,227
Total liabilities	3,955	4,014
Net assets	59,491	57,701
EQUITY		
Accumulated surplus	57,205	55,804
Revaluation reserves	2,286	1,897
Total equity	59,491	57,701

Hilltops Council

Statement of Financial Position of sewerage business activity

as at 30 June 2021

\$ '000	2021	2020
ASSETS		
Current assets		
Cash and cash equivalents	5,701	4,448
Investments	1,075	1,077
Receivables	944	638
Total current assets	7,720	6,163
Non-current assets		
Infrastructure, property, plant and equipment	45,571	46,248
Total non-current assets	45,571	46,248
Total assets	53,291	52,411
LIABILITIES		
Current liabilities		
Payables	43	19
Borrowings	750	728
Employee benefit provisions	124	121
Total current liabilities	917	868
Non-current liabilities		
Borrowings	8,952	9,702
Total non-current liabilities	8,952	9,702
Total liabilities	9,869	10,570
Net assets	43,422	41,841
EQUITY		
Accumulated surplus	41,163	39,996
Revaluation reserves	2,259	1,845
Total equity	43,422	41,841

Hilltops Council

Statement of Financial Position – South West Regional Waste Management Group

as at 30 June 2021

\$ '000	2021 Category 2	2020 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	3,689	3,692
Receivables	926	355
Total current assets	4,615	4,047
Non-current assets		
Infrastructure, property, plant and equipment	552	628
Total non-current assets	552	628
Total assets	5,167	4,675
LIABILITIES		
Current liabilities		
Payables	–	101
Total current liabilities	–	101
Total liabilities	–	101
NET ASSETS	5,167	4,574
EQUITY		
Accumulated surplus	5,165	4,572
Revaluation reserves	2	2
Total equity	5,167	4,574

Hilltops Council

Statement of Financial Position – South West Rural Fire Zone

as at 30 June 2021

\$ '000	2021 Category 2	2020 Category 2
ASSETS		
Current assets		
Cash and cash equivalents	76	93
Receivables	1	1
Total current assets	77	94
Total assets	77	94
LIABILITIES		
Current liabilities		
Payables	1	–
Total current liabilities	1	–
Total liabilities	1	–
NET ASSETS	76	94
EQUITY		
Accumulated surplus	76	94
Total equity	76	94

Note – Significant Accounting Policies

A statement summarising the supplemental accounting policies adopted in the preparation of the special purpose financial statements (SPFS) for National Competition Policy (NCP) reporting purposes follows.

These financial statements are SPFS prepared for use by Council and the Office of Local Government. For the purposes of these statements, the Council is a non-reporting not-for-profit entity.

The figures presented in these special purpose financial statements have been prepared in accordance with the recognition and measurement criteria of relevant Australian Accounting Standards, other authoritative pronouncements of the Australian Accounting Standards Board (AASB) and Australian Accounting Interpretations.

The disclosures in these special purpose financial statements have been prepared in accordance with the *Local Government Act 1993* (Act), the *Local Government (General) Regulation 2005* (Regulation) and the Local Government Code of Accounting Practice and Financial Reporting.

The statements are prepared on an accruals basis. They are based on historic costs and do not take into account changing money values or, except where specifically stated, fair value of non-current assets. Certain taxes and other costs, appropriately described, have been imputed for the purposes of the National Competition Policy.

The Statement of Financial Position includes notional assets/liabilities receivable from/payable to Council's general fund. These balances reflect a notional intra-entity funding arrangement with the declared business activities.

National Competition Policy

Council has adopted the principle of 'competitive neutrality' in its business activities as part of the National Competition Policy which is being applied throughout Australia at all levels of government. The framework for its application is set out in the June 1996 NSW Government Policy statement titled 'Application of National Competition Policy to Local Government'. *The Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality* issued by the Office of Local Government in July 1997 has also been adopted.

The pricing and costing guidelines outline the process for identifying and allocating costs to activities and provide a standard for disclosure requirements. These disclosures are reflected in Council's pricing and/or financial reporting systems and include taxation equivalents, Council subsidies, and returns on investments (rate of return and dividends paid).

Declared business activities

In accordance with *Pricing and Costing for Council Businesses – A Guide to Competitive Neutrality*, Council has declared that the following are to be considered as business activities:

Category 1

(where gross operating turnover is over \$2 million)

a. Hilltops Water Supply

Provision of reticulated water to the community of Hilltops.

b. Hilltops Sewerage Services

Provision of sewerage services to the community of Hilltops.

Category 2

(where gross operating turnover is less than \$2 million)

a. South West Slopes Regional Waste Management Group

b. South West Rural Fire Service

Monetary amounts

Amounts shown in the financial statements are in Australian dollars and rounded to the nearest one thousand dollars.

Taxation equivalent charges

Council is liable to pay various taxes and financial duties. Where this is the case, they are disclosed as a cost of operations just like all other costs.

Note – Significant Accounting Policies (continued)

However, where Council does not pay some taxes which are generally paid by private sector businesses, such as income tax, these equivalent tax payments have been applied to all Council-nominated business activities and are reflected in Special Purpose Financial Statements.

For the purposes of disclosing comparative information relevant to the private sector equivalent, the following taxation equivalents have been applied to all Council-nominated business activities (this does not include Council's non-business activities):

Notional rate applied (%)

Corporate income tax rate – **27.5%**

Land tax – the first \$692,000 of combined land values attracts **0%**. For the combined land values in excess of \$692,001 up to \$4,231,000 the rate is **1.6% + \$100**. For the remaining combined land value that exceeds \$4,231,000 a premium marginal rate of **2.0%** applies.

Payroll tax – **5.45%** on the value of taxable salaries and wages in excess of \$850,000.

In accordance with the Department of Industry (DoI) – Water guidelines, a payment for the amount calculated as the annual tax equivalent charges (excluding income tax) must be paid from water supply and sewerage business activities.

The payment of taxation equivalent charges, referred to in the DoI – Water guidelines as a 'dividend for taxation equivalent', may be applied for any purpose allowed under the *Local Government Act, 1993*.

Achievement of substantial compliance to the DoI – Water guidelines is not a prerequisite for the payment of the tax equivalent charges, however the payment must not exceed \$3 per assessment.

Income tax

An income tax equivalent has been applied on the profits of the business activities.

Whilst income tax is not a specific cost for the purpose of pricing a good or service, it needs to be taken into account in terms of assessing the rate of return required on capital invested.

Accordingly, the return on capital invested is set at a pre-tax level - gain/(loss) from ordinary activities before capital amounts, as would be applied by a private sector competitor. That is, it should include a provision equivalent to the corporate income tax rate, currently 27.5%.

Income tax is only applied where a gain/ (loss) from ordinary activities before capital amounts has been achieved.

Since the taxation equivalent is notional – that is, it is payable to Council as the 'owner' of business operations - it represents an internal payment and has no effect on the operations of the Council. Accordingly, there is no need for disclosure of internal charges in the SPFS.

The rate applied of 27.5% is the equivalent company tax rate prevalent at reporting date. No adjustments have been made for variations that have occurred during the year.

Local government rates and charges

A calculation of the equivalent rates and charges for all Category 1 businesses has been applied to all assets owned, or exclusively used by the business activity.

Loan and debt guarantee fees

The debt guarantee fee is designed to ensure that Council business activities face 'true' commercial borrowing costs in line with private sector competitors. In order to calculate a debt guarantee fee, Council has determined what the differential borrowing rate would have been between the commercial rate and Council's borrowing rate for its business activities.

(i) Subsidies

Government policy requires that subsidies provided to customers, and the funding of those subsidies, must be explicitly disclosed. Subsidies occur where Council provides services on a less than cost recovery basis. This option is exercised on a range of services in order for Council to meet its community service obligations. The overall effect of subsidies is contained within the Income Statements of business activities.

Note – Significant Accounting Policies (continued)

(ii) Return on investments (rate of return)

The NCP policy statement requires that councils with Category 1 businesses 'would be expected to generate a return on capital funds employed that is comparable to rates of return for private businesses operating in a similar field'.

Funds are subsequently available for meeting commitments or financing future investment strategies. The rate of return is disclosed for each of Council's business activities on the Income Statement.

The rate of return is calculated as follows:

Operating result before capital income + interest expense

Written down value of I,PP&E as at 30 June

As a minimum, business activities should generate a return equal to the Commonwealth 10 year bond rate which is 1.49% at 30/6/21.

(iii) Dividends

Council is not required to pay dividends to either itself (as owner of a range of businesses) or to any external entities.

Local government water supply and sewerage businesses are permitted to pay an annual dividend from its water supply or sewerage business surplus.

Each dividend must be calculated and approved in accordance with the Department of Industry – Water guidelines and must not exceed:

- 550% of this surplus in any one year, or
- the number of water supply or sewerage assessments at 30 June 2021 multiplied by \$30 (less the payment for tax equivalent charges, not exceeding \$3 per assessment).

In accordance with the Department of Industry – Water guidelines a Dividend Payment form, Statement of Compliance, Unqualified Independent Financial Audit Report and Compliance Audit Report are required to be submitted to the Department of Industry – Water.



INDEPENDENT AUDITOR'S REPORT

Report on the special purpose financial statements

Hilltops Council

To the Councillors of the Hilltops Council

Opinion

I have audited the accompanying special purpose financial statements (the financial statements) of Hilltops Council's (the Council) Declared Business Activities, which comprise the Statement by Councillors and Management, the Income Statement of each Declared Business Activity for the year ended 30 June 2021, the Statement of Financial Position of each Declared Business Activity as at 30 June 2021 and the Significant accounting policies note.

The Declared Business Activities of the Council are:

- Water Supply
- Sewerage
- South West Regional Waste Management Group
- South West Rural Fire Zone

In my opinion, the financial statements present fairly, in all material respects, the financial position of the Council's declared Business Activities as at 30 June 2021, and their financial performance for the year then ended, in accordance with the Australian Accounting Standards described in the Significant accounting policies note and the Local Government Code of Accounting Practice and Financial Reporting 2020–21 (LG Code).

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Financial Statements' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as the auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the Significant accounting policies note to the financial statements which describes the basis of accounting. The financial statements have been prepared for the purpose of fulfilling the Council's financial reporting responsibilities under the LG Code. As a result, the financial statements may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2021 includes other information in addition to the financial statements and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements and Special Schedules (the Schedules).

My opinion on the financial statements does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and Special Schedule 'Permissible income for general rates'.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Financial Statements

The Councillors are responsible for the preparation and fair presentation of the financial statements and for determining that the accounting policies, described in the Significant accounting policies note to the financial statements, are appropriate to meet the requirements in the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation and fair presentation of the financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to:

- obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the financial statements.

A description of my responsibilities for the audit of the financial statements is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar4.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited financial statements on any website where they may be presented
- about any other information which may have been hyperlinked to/from the financial statements.

A handwritten signature in black ink, appearing to read 'Lisa Berwick', with a stylized flourish at the end.

Lisa Berwick
Director, Financial Audit Services

Delegate of the Auditor-General for New South Wales

16 December 2021
SYDNEY

Hilltops Council

SPECIAL SCHEDULES
for the year ended 30 June 2021



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Hilltops Council

Permissible income for general rates

\$ '000	Notes	Calculation 2020/21	Calculation 2021/22
Notional general income calculation ¹			
Last year notional general income yield	a	13,489	13,745
Plus or minus adjustments ²	b	21	—
Notional general income	$c = a + b$	13,510	13,745
Permissible income calculation			
Or rate peg percentage	e	2.60%	2.00%
Or plus rate peg amount	$i = e \times (c + g)$	351	275
Sub-total	$k = (c + g + h + i + j)$	13,861	14,020
Plus (or minus) last year's carry forward total	l	(5)	112
Sub-total	$n = (l + m)$	(5)	112
Total permissible income	$o = k + n$	13,856	14,132
Less notional general income yield	p	13,745	14,022
Catch-up or (excess) result	$q = o - p$	112	110
Carry forward to next year ⁶	$t = q + r + s$	112	110

Notes

- (1) The notional general income will not reconcile with rate income in the financial statements in the corresponding year. The statements are reported on an accrual accounting basis which include amounts that relate to prior years' rates income.
- (2) Adjustments account for changes in the number of assessments and any increase or decrease in land value occurring during the year. The adjustments are called 'supplementary valuations' as defined in the Valuation of Land Act 1916.
- (6) Carry forward amounts which are in excess (an amount that exceeds the permissible income) require Ministerial approval by order published in the *NSW Government Gazette* in accordance with section 512 of the *Local Government Act 1993*. The OLG will extract these amounts from Council's Permissible income for general rates Statement in the financial data return (FDR) to administer this process.



INDEPENDENT AUDITOR'S REPORT

Special Schedule – Permissible income for general rates

Hilltops Council

To the Councillors of Hilltops Council

Opinion

I have audited the accompanying Special Schedule – Permissible income for general rates (the Schedule) of Hilltops Council (the Council) for the year ending 30 June 2022.

In my opinion, the Schedule is prepared, in all material respects in accordance with the requirements of the Local Government Code of Accounting Practice and Financial Reporting 2020–21 (LG Code) and is in accordance with the books and records of the Council.

My opinion should be read in conjunction with the rest of this report.

Basis for Opinion

I conducted my audit in accordance with Australian Auditing Standards. My responsibilities under the standards are described in the 'Auditor's Responsibilities for the Audit of the Schedule' section of my report.

I am independent of the Council in accordance with the requirements of the:

- Australian Auditing Standards
- Accounting Professional and Ethical Standards Board's APES 110 'Code of Ethics for Professional Accountants (including Independence Standards)' (APES 110).

I have fulfilled my other ethical responsibilities in accordance with APES 110.

Parliament promotes independence by ensuring the Auditor-General and the Audit Office of New South Wales are not compromised in their roles by:

- providing that only Parliament, and not the executive government, can remove an Auditor-General
- mandating the Auditor-General as auditor of councils
- precluding the Auditor-General from providing non-audit services.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Emphasis of Matter - Basis of Accounting

Without modifying my opinion, I draw attention to the special purpose framework used to prepare the Schedule. The Schedule has been prepared for the purpose of fulfilling the Council's reporting obligations under the LG Code. As a result, the Schedule may not be suitable for another purpose.

Other Information

The Council's annual report for the year ended 30 June 2021 includes other information in addition to the Schedule and my Independent Auditor's Report thereon. The Councillors are responsible for the other information. At the date of this Independent Auditor's Report, the other information I have received comprise the general purpose financial statements, special purpose financial statements and Special Schedule 'Report on infrastructure assets as at 30 June 2021'.

My opinion on the Schedule does not cover the other information. Accordingly, I do not express any form of assurance conclusion on the other information. However, as required by the *Local Government Act 1993*, I have separately expressed an opinion on the general purpose financial statements and the special purpose financial statements.

In connection with my audit of the Schedule, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Schedule or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed, I conclude there is a material misstatement of the other information, I must report that fact.

I have nothing to report in this regard.

The Councillors' Responsibilities for the Schedule

The Councillors are responsible for the preparation of the Schedule in accordance with the LG Code. The Councillors' responsibility also includes such internal control as the Councillors determine is necessary to enable the preparation of the Schedule that is free from material misstatement, whether due to fraud or error.

In preparing the Schedule, the Councillors are responsible for assessing the Council's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting.

Auditor's Responsibilities for the Audit of the Schedule

My objectives are to:

- obtain reasonable assurance whether the Schedule as a whole is free from material misstatement, whether due to fraud or error
- issue an Independent Auditor's Report including my opinion.

Reasonable assurance is a high level of assurance, but does not guarantee an audit conducted in accordance with Australian Auditing Standards will always detect material misstatements. Misstatements can arise from fraud or error. Misstatements are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions users take based on the Schedule.

A description of my responsibilities for the audit of the Schedule is located at the Auditing and Assurance Standards Board website at: www.auasb.gov.au/auditors_responsibilities/ar8.pdf. The description forms part of my auditor's report.

The scope of my audit does not include, nor provide assurance:

- that the Council carried out its activities effectively, efficiently and economically
- about the security and controls over the electronic publication of the audited Schedule on any website where it may be presented
- about any other information which may have been hyperlinked to/from the Schedule.

A handwritten signature in black ink, appearing to read 'Lisa Berwick', with a stylized flourish at the end.

Lisa Berwick
Director, Financial Audit Services

Delegate of the Auditor-General for New South Wales

16 December 2021
SYDNEY

Hilltops Council

Report on infrastructure assets as at 30 June 2021

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2020/21 Required maintenance ^a	2020/21 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Buildings	Specialist Buildings	154	6	141	285	11,052	24,977	1.0%	6.0%	83.0%	3.0%	7.0%
	Non Specialised Buildings	1,551	35	483	517	54,803	103,827	6.0%	21.0%	57.0%	7.0%	9.0%
	Specialised Buildings Water	—	—	1	—	16	18	100.0%	0.0%	0.0%	0.0%	0.0%
	Specialised Buildings Sewer	24	12	4	—	43	137	26.0%	0.0%	30.0%	0.0%	44.0%
	Sub-total	1,729	53	629	802	65,914	128,959	5.1%	18.1%	62.0%	6.2%	8.6%
Other structures	Other structures	28	—	92	300	7,997	13,355	60.0%	7.0%	32.0%	2.0%	(1.0%)
	Sub-total	28	—	92	300	7,997	13,355	60.0%	7.0%	32.0%	2.0%	(1.0%)
Roads	Bridges	547	110	755	457	32,700	61,597	34.0%	26.0%	34.0%	5.0%	1.0%
	Footpaths	22	4	56	100	7,305	10,051	61.0%	19.0%	19.0%	1.0%	0.0%
	K&G	54	20	136	52	8,347	17,279	23.0%	15.0%	60.0%	1.0%	1.0%
	Roads	4,852	1,278	4,426	5,853	249,889	386,804	38.0%	34.0%	21.0%	4.0%	3.0%
	Earthworks	—	—	—	—	129,481	129,481	100.0%	0.0%	0.0%	0.0%	0.0%
	Sub-total	5,475	1,412	5,373	6,462	427,722	605,212	50.8%	25.1%	18.9%	3.1%	2.0%
Water supply network	Water supply network	1,587	611	546	673	38,126	66,968	12.0%	36.0%	45.0%	3.0%	4.0%
	Reservoirs	1,505	603	92	57	4,219	9,871	24.0%	8.0%	22.0%	15.0%	31.0%
	Pump Stations	45	—	47	35	741	1,263	44.0%	11.0%	27.0%	18.0%	0.0%
	Other	—	—	87	207	35	43	73.0%	27.0%	0.0%	0.0%	0.0%
	Sub-total	3,137	1,214	772	972	43,121	78,145	14.1%	32.1%	41.8%	4.8%	7.3%
Sewerage network	Sewerage network	1,554	19	256	127	27,497	45,627	32.0%	12.0%	39.0%	17.0%	0.0%
	Treatment Plant	2,601	1,300	397	535	15,618	25,949	70.0%	1.0%	4.0%	0.0%	25.0%
	Pump Stations	191	80	52	49	808	2,105	5.0%	12.0%	57.0%	7.0%	19.0%
	Other	562	281	134	24	358	1,792	0.0%	21.0%	1.0%	0.0%	78.0%
	Sub-total	4,908	1,680	839	735	44,281	75,473	43.6%	8.4%	26.6%	10.5%	11.0%

Hilltops Council

Report on infrastructure assets as at 30 June 2021 (continued)

Asset Class	Asset Category	Estimated cost to bring assets to satisfactory standard	Estimated cost to bring to the agreed level of service set by Council	2020/21 Required maintenance ^a	2020/21 Actual maintenance	Net carrying amount	Gross replacement cost (GRC)	Assets in condition as a percentage of gross replacement cost				
		\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	\$ '000	1	2	3	4	5
Stormwater drainage	Stormwater drainage	76	1	46	43	8,423	24,774	2.0%	5.0%	92.0%	1.0%	0.0%
	Stormwater Pits	68	—	65	97	2,310	4,242	27.0%	3.0%	62.0%	8.0%	0.0%
	Stormwater Headwalls	62	—	1	—	745	1,177	56.0%	2.0%	16.0%	26.0%	0.0%
	Pollutant Traps	—	—	6	—	155	173	0.0%	100.0%	0.0%	0.0%	0.0%
	Other	—	—	18	—	156	310	0.0%	100.0%	0.0%	0.0%	0.0%
	Sub-total	206	1	136	140	11,789	30,676	7.5%	6.1%	83.5%	2.9%	0.0%
Open space / recreational assets	Swimming pools	64	—	373	758	9,232	13,992	3.0%	68.0%	25.0%	3.0%	1.0%
	Other	59	—	231	371	9,976	15,651	58.0%	17.0%	22.0%	3.0%	0.0%
	Sub-total	123	—	604	1,129	19,208	29,643	32.0%	41.1%	23.4%	3.0%	0.5%
Total – all assets		15,606	4,360	8,445	10,540	620,032	961,463	39.3%	23.1%	29.5%	4.2%	3.9%

(a) Required maintenance is the amount identified in Council's asset management plans.

Infrastructure asset condition assessment 'key'

#	Condition	Integrated planning and reporting (IP&R) description
1	Excellent/very good	No work required (normal maintenance)
2	Good	Only minor maintenance work required
3	Satisfactory	Maintenance work required
4	Poor	Renewal required
5	Very poor	Urgent renewal/upgrading required

Hilltops Council

Report on infrastructure assets as at 30 June 2021

Infrastructure asset performance indicators (consolidated) *

\$ '000	Amounts 2021	Indicator 2021	2020	Indicators 2019	2018	Benchmark
Buildings and infrastructure renewals ratio						
Asset renewals ¹	17,819					
Depreciation, amortisation and impairment	14,264	124.92%	58.87%	57.15%	104.72%	>= 100.00%
Infrastructure backlog ratio						
Estimated cost to bring assets to a satisfactory standard	15,606					
Net carrying amount of infrastructure assets	626,895	2.49%	3.60%	4.12%	4.21%	< 2.00%
Asset maintenance ratio						
Actual asset maintenance	10,540					
Required asset maintenance	8,445	124.81%	98.82%	99.51%	99.03%	> 100.00%
Cost to bring assets to agreed service level						
Estimated cost to bring assets to an agreed service level set by Council	4,360	0.45%	0.67%	0.74%	0.74%	
Gross replacement cost	961,463					

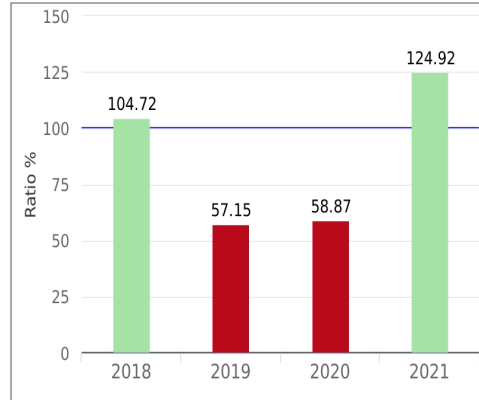
(*) All asset performance indicators are calculated using classes identified in the previous table.

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.

Hilltops Council

Report on infrastructure assets as at 30 June 2021

Buildings and infrastructure renewals ratio



Buildings and infrastructure renewals ratio

To assess the rate at which these assets are being renewed relative to the rate at which they are depreciating.

Commentary on result

20/21 ratio 124.92%

A major increase in capital expenditure on asset renewals in this financial year has seen a significant improvement in the buildings and infrastructure renewals ratio this year.

Council will need to reassess investment in renewal assets in the long term financial plan in order to maintain the benchmark.

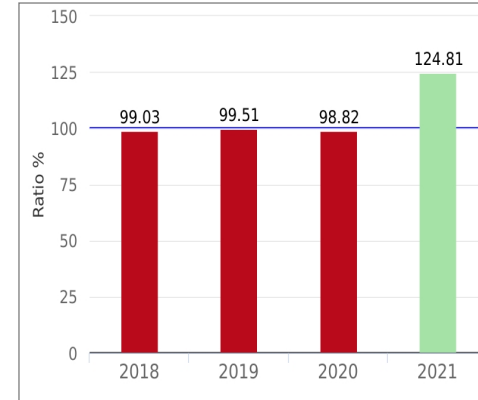
Benchmark: — $\geq 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Asset maintenance ratio



Asset maintenance ratio

Compares actual vs. required annual asset maintenance. A ratio above 1.0 indicates Council is investing enough funds to stop the infrastructure backlog growing.

Commentary on result

20/21 ratio 124.81%

Council performance sits at or above the industry benchmark of 100% and indicates that Council is investing sufficient funds to prevent a growth in its infrastructure backlog.

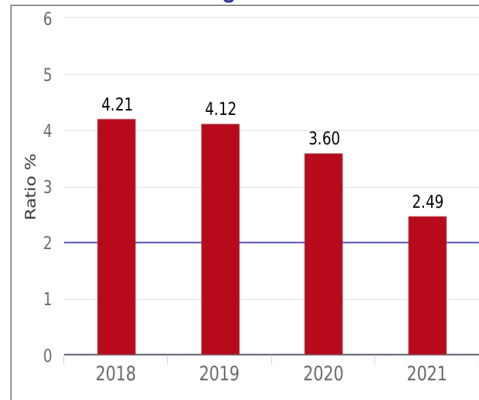
Benchmark: — $> 100.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Infrastructure backlog ratio



Infrastructure backlog ratio

This ratio shows what proportion the backlog is against the total value of a Council's infrastructure.

Commentary on result

20/21 ratio 2.49%

Continued investment in infrastructure in 2020 and 2021 has resulted in a continued improvement in this ratio over the past two years. The increased capital expenditure has been facilitated by significant increases in capital government grants.

Despite the increase in capital expenditure Council is still operating outside the industry benchmark

Benchmark: — $< 2.00\%$

Ratio achieves benchmark

Source of benchmark: Code of Accounting Practice and Financial Reporting

Ratio is outside benchmark

Cost to bring assets to agreed service level



Cost to bring assets to agreed service level

This ratio provides a snapshot of the proportion of outstanding renewal works compared to the total value of assets under Council's care and stewardship.

Commentary on result

20/21 ratio 0.45%

Council has maintained its performance on the cost to bring assets to an agreed service level compared with the previous financial years. As the level of Councils investment in new assets has been increasing it is expected that this ratio should continue to show some improvement

Hilltops Council

Report on infrastructure assets as at 30 June 2021

Infrastructure asset performance indicators (by fund)

\$ '000	General fund		Water fund		Sewer fund		Benchmark
	2021	2020	2021	2020	2021	2020	
Buildings and infrastructure renewals ratio							
Asset renewals ¹							
Depreciation, amortisation and impairment	138.06%	69.19%	129.26%	0.00%	10.09%	0.00%	>= 100.00%
Infrastructure backlog ratio							
Estimated cost to bring assets to a satisfactory standard							
Net carrying amount of infrastructure assets	1.40%	2.69%	7.27%	7.32%	11.07%	10.72%	< 2.00%
Asset maintenance ratio							
Actual asset maintenance							
Required asset maintenance	129.25%	101.81%	125.91%	103.84%	87.60%	69.83%	> 100.00%
Cost to bring assets to agreed service level							
Estimated cost to bring assets to an agreed service level set by Council							
Gross replacement cost	0.18%	0.44%	1.55%	1.57%	2.22%	2.22%	

(1) Asset renewals represent the replacement and/or refurbishment of existing assets to an equivalent capacity/performance as opposed to the acquisition of new assets (or the refurbishment of old assets) that increases capacity/performance.